

Annual Report

2023



5
platforms

41
operating
companies

> €92 MM
revenue

> €25 MM
EBITDA

~700
employees

> €165 MM
invested capital

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Dear shareholders,
dear friends of the company,

in the more than 25 years since CHAPTERS Group AG was founded, we have opened a new chapter in our company history more than once. New beginnings run like a common thread through the entire group – be it for entrepreneurs who are handing over their life's work into new hands within the scope of a succession solution or for entrepreneurial management talents who are turning over a new leaf in their careers.

In 2019, a new chapter began for us as a holding company – still trading as MEDIQON Group AG – with our first acquisition. At the end of the 2023 financial year, the group included 41 operating companies that, with around 680 employees, achieved sales of more than 92 million euros.

In 2023, we will have opened the next chapter in our company's history.

In addition to the name change to CHAPTERS Group AG as a visible sign, we were able to make important progress on the way to building the **“home for mission-critical business”**.

But what do we actually mean by “mission critical”? For us, “mission critical” are products and services that are essential for the respective end customer. This might be an ERP-software used to run motorcycle shops – if the system fails, the processes at the motorcycle dealer stall. It might be a CAD/CAM software solution connecting woodworking CNC-machines and the CAM software – if the software doesn't work, production is halted. Or it might be a blocked account used by international students for the visa process – If the confirmation is not received in time for the embassy appointment, no visa will be issued.

We are convinced that there are many of these companies – usually founder led – looking for a new long-term home or a partner to help them grow. Together with our platforms, we are building this home.

We are guided by three core beliefs.

We grow together: We attract the best talents by offering co-ownership and the opportunity to build equity. The bigger the cake, the larger the slice everyone gets.

We think in decades: Thanks to our shareholders, we operate with a permanent capital base. Unlike private equity funds, for example, we are not forced to sell investments after a certain period and can, therefore, support long-term initiatives for the sustainable development of companies.

We serve the edge: We succeed by empowering a decentralized organization. While we set expectations and measure results centrally, we give decision making authority within agreed upon boundaries to the teams closest to the customer.

In the 2023 financial year, we were able to continue the group's growth from previous years:

In the 2023 financial year, we were able to continue the group's growth from previous years:

- ❖ Eight companies from the vertical market software sector have become part of the group via Ookam Software GmbH. In addition to expanding existing activities by investing in a total of four companies in the "construction and real estate industry" and "industrial software" sub-segments, three companies have become part of the group which serve public authorities and, social organizations and municipal institutions as their customers. With Utilities Systems, based in Prague, which offers a software solution for electricity, gas and water suppliers as well as public broadcasters, the first company outside the DACH region has also been added.
- ❖ With the takeover of the Glasfaser Direkt Group by CarMa Holding GmbH within the scope of insolvency proceedings of Glasfaser Direkt, three companies have become part of the group. As Internet service providers, they count numerous private households as their customers. Another smaller, newly established Internet Service Provider commenced operations in 2023. In addition, the existing range of services in the field of operating fiber optic networks was expanded through the acquisition of a software solution for Internet service providers.
- ❖ Via NGC Nachfolgekapital, four new companies have become part of the ENTRO Group, which focuses on technical services in the areas of access solutions, fire protection, and security technology. In the education sector, the GfW Group was

able to expand its presence in Berlin by investing in another language school.

- ❖ As CHAPTERS Group AG, we were able to expand our share in Fintiba GmbH from 39.9% to 55%. Fintiba's vision is to be the central point of contact for all (financial) products and services required in Germany for foreign students and young professionals. As a long-term and financially sound partner, we can support Fintiba GmbH in the implementation of the growth strategy. We are proud that the Fintiba management team contributed a part of the purchase price in exchange for shares in CHAPTERS Group AG in the capital increase for contribution in kind carried out in March 2024 and will thus also support our development in the long term.

In the 2023 financial year and in the first months of 2024, we were able to lay important groundwork on the path to building "the home for mission-critical companies":

- ❖ In addition to the acquisition of a Czech company through Ookam Software, we have established mlog capital SAS in France, setting the stage for expanding our geographical focus, especially in the area of vertical market software.
- ❖ In March 2024, we were able to expand our existing stake in Software Circle plc to 29.9%. Software Circle plc invests in industry software companies in Great Britain and Ireland. Thanks to Jan-Hendrik Mohr's role as Chairman of the Board, we have been accompanying the company for many years and are impressed by its development. We are pleased to be able to support the next steps as the largest shareholder in Software Circle plc.

- ❖ In September 2023, we completed the spin-off of the property services business of ARUDI GmbH and its operating subsidiaries by way of a management buyout. This step allows us to increasingly focus our resources and expertise on growth in other existing segments of the Group.
- ❖ With two capital increases – one in May and one in December 2023 – we have created the capital basis for the continuous growth of our platform companies. In addition to the continued support of long-standing shareholders, we also expanded the existing investor base.
- ❖ In April 2024, we secured capital commitments of EUR 52 million for a future capital increase from a group of renowned family offices. These capital commitments allow us to continue to drive the growth of our existing platforms but also to actively build new platforms.

Taking advantage of new opportunities is a core part of our DNA. Looking forward, we are confident that the company's dynamic growth will continue and that we will open several new and successful chapters of the company in the coming months and years.

We would like to thank all teams in the platform companies and operating associated companies for their great commitment and the outstanding development in recent years.

We look forward to meeting you in person at the Annual General Meeting in July 2024, which will once again take place in Hamburg.

We value the personal exchange with you, dear shareholders, and thank you for your

continued support and trust in the company's development.

Sincerely,



.....
Jan-Hendrik Mohr



.....
Marlene Carl



Dear shareholders,
dear friends of the company, ,

CHAPTERS Group AG continued to grow in the 2023 financial year. In a challenging capital market environment, the company was able to secure funds for further growth by raising capital through two capital increases in May and December. The platform companies belonging to the Group have invested in a further 18 operating companies. At the end of the year, a total of 41 companies were part of the Group.

During the reporting period, the Supervisory Board performed the duties incumbent upon it in accordance with the law and the Articles of Association. It monitored the Management Board of CHAPTERS Group AG on the basis of written and verbal reports and provided advice in joint discussions.

The Supervisory Board was informed by the Management Board about the ongoing development of the business and matters of particular importance and was directly involved in all decisions of fundamental importance to the company. In addition, there was an exchange of information between members of the Supervisory Board and the Management Board throughout the financial year.

In accordance with the Articles of Association, the Supervisory Board consisted of four members during the reporting period. The Supervisory Board did not form any committees.

Thirteen Supervisory Board meetings and several strategy days were held in 2023. All members of the Supervisory Board attended twelve of the thirteen meetings in person or by telephone. At times, experts were called in for individual meetings.

The meetings and consultations focused on:

- ❖ Planning, support, and supervision of the subsidiaries MEDIQON Beteiligungsgesellschaft mbH, NGC Nachfolgekapital GmbH, Ookam Software GmbH, CarMa Holding GmbH, and mlog capital SAS
- ❖ The decision on the strategic development and increased focus of inorganic growth on VMS software in Germany and abroad.
- ❖ The renaming of the company to CHAPTERS Group AG.
- ❖ The extension of the Management Board contract of CEO Jan-Hendrik Mohr until December 31, 2027.
- ❖ The review and assessment of the first acquisition of the Group outside of the DACH Region with the acquisition of Utilities Systems, Czech Republic by Ookam Software GmbH.
- ❖ Support and resolution of two capital increases via private placement with entry in the commercial register in May and December 2023 utilizing authorized capital and the placement of own bearer bonds of the 2020 bond.
- ❖ Support for various acquisitions by the platform companies NGC Nachfolgekapital GmbH, Ookam Software GmbH, mlog capital SAS and their subsidiaries.
- ❖ Advising on the investment in a further 15.1% and thus increasing the stake to a total of 55% in Fintiba GmbH.
- ❖ Assessment and advice on the possible establishment of further investment platforms in Germany and abroad.
- ❖ The spin-off of the property service group ("ARUDI") belonging to NGC Nachfolgekapital GmbH by way of a management buy-out.

- ❖ Assessment, guidance, and supervision of the Global Heart Beteiligungsgesellschaft mbH project.
- ❖ Preparation, development and implementation of a variable and market-standard remuneration structure for the Management Board.
- ❖ Monitoring the reporting on the securities portfolio of CHAPTERS Group AG

In 2023, the Supervisory Board developed and approved a virtual share option plan ("VSOP") as part of a variable remuneration model. The goal of the model is the long-term incentive and commitment of the Board of Directors to the company.

Issued options have a term of four years until December 31, 2026, and can then be exercised until December 31, 2027. For a payout to occur, the share price of CHAPTERS Group AG must rise from a starting price of 14.50 euros by more than 10% p.a. over four years above a strike price of 22.27 per share.

Earned payout amounts will be paid out staggered over two years and will be increased or decreased based on the share price development during this period. It is at the discretion of the Supervisory Board to grant the potential payments in cash or in shares in the company.

The Management Board thus participates directly in a long-term positive share price performance of the company. The VSOP 2023 has been prepared considering market conformity and market practice, also with regard to the legal and regulatory framework and future compatibility with the requirements of the German Corporate Governance Code (GCGC).

The Supervisory Board reviewed and discussed the annual financial statements

prepared in accordance with the German Commercial Code, as well as the consolidated financial statements of CHAPTERS Group AG and the combined management report and consulted with the Management Board. The annual and consolidated financial statements for the financial year from January 1, 2023 to December 31, 2023 were audited by BDO AG, Tobias Haerle, Hamburg, and issued with an unqualified audit opinion.

The documents and the auditor's report were made available to all members of the Supervisory Board. The auditor explained the results of the audit of the consolidated and annual financial statements in detail to the Supervisory Board at its meeting on May 22, 2024 to approve the financial statements and answered questions from the Supervisory Board.

The Supervisory Board approved the audit report for CHAPTERS Group AG. Based on the final results of its review, the Supervisory Board raised no objections to the documents submitted. The Supervisory Board approved the consolidated and annual financial statements and the combined management report. The annual financial statements are thus adopted in accordance with Section 172 of the German Stock Corporation Act.

The Supervisory Board would like to thank the Executive Board and all employees of the entire group for the great commitment shown and the services provided.



.....
Dr Mathias Saggau
Chairman of the Supervisory Board

Development of the Group and key figures

As a holding company, CHAPTERS Group AG is the sum of its subsidiaries. Two factors are very important for the long-term economic success and performance of the group: the growth of the group through the acquisition of additional operating associated companies by the platform companies and the operational development of these companies.

Growth of the Group

		2019-21	2022	2023
Companies newly added to the Group	 NACHFOLGEKAPITAL	7	3	5
	 OKAM SOFTWARE	9	5	8
	 CarMa. Content Management Holding	2	0	5
	Direct subsidiaries of CHAPTERS Group AG	2	0	0
Operating portfolio companies at the end of the period		20	26 ¹	41 ²
thereof minority interests		2	2	1 ³
Invested capital ⁴		€ 67.8 MM	€ 100.7 MM	€ 165.8 MM
thereof for the acquisition of / investment in minority interests		€ 3.1 MM	€ 9.4 MM	€ 15.5 MM

The invested capital includes the total amount invested for the acquisition of group companies (including external financing, seller loans, and equity contributions from minority shareholders) as well as funds provided by CHAPTERS Group AG for setting up the business operations of subsidiaries. As far as minority interests are concerned, only the amount invested by CHAPTERS Group AG is taken into account.

Development of the operating portfolio companies

For the overview below, all operating companies (including the minority interest) that are part of the group as of December 31, 2023, are taken into account with their results for the entire period and at 100%, regardless of the time of acquisition or the share of CHAPTERS Group AG. To calculate the amounts attributable to CHAPTERS Group AG, the relevant pro-rata share of CHAPTERS Group AG in the respective operating company as of December 31, 2023, is applied to the result of this company (taking into account minorities on different levels of the legal structure).

¹ In the 2022 financial year, one of the operating companies under NGC Nachfolgekapital GmbH was merged with another, and another company was sold.

² In the 2023 financial year, the ARUDI Group with 3 operating companies was spun off by means of a management buyout.

³ In the 2023 financial year, CHAPTERS Group AG increased its share in Fintiba GmbH from 39.9% to 55%; accordingly, the company will be included in the group's consolidated financial statements going forward.

⁴ Excluding amounts invested in previous years in companies that are no longer part of the group.

Sum of all companies that are part of the group since		2021	2022	2023
2019-21	revenue	€ 34.0 MM	€ 40.4 MM	€ 49.6 MM
2022			€ 10.2 MM	€ 11.9 MM
2023				€ 31.1 MM
Total⁵		€ 34.0 MM	€ 50.6 MM	€ 92.7 MM
<i>thereof from minority interests⁶</i>		<i>€ 9,2 Mio.</i>	<i>€ 11.9 MM</i>	<i>€ 17.5 MM</i>
2019-21	EBITDA (rep.)	€ 9.4 MM	€ 7.3 MM	€ 11.2 MM
2022			€ 1.9 MM	€ 2.2 MM
2023				€ 8.0 MM
Total⁵		€ 9.4 MM	€ 9.2 MM	€ 21.4 MM
<i>thereof from minority interests⁶</i>		<i>€ 1,6 Mio.</i>	<i>€ 1.0 MM</i>	<i>€ 4.3 MM</i>
2019-21	EBITDA (adj.)	€ 10.8 MM	€ 10.8 MM	€ 14.4 MM
2022			€ 2.6 MM	€ 2.8 MM
2023				€ 8.1 MM
Total⁵		€ 10.8 MM	€ 13.4 MM	€ 25.4 MM
<i>thereof from minority interests⁶</i>		<i>€ 1.6 Mio.</i>	<i>€ 1.9 MM</i>	<i>€ 5.2 MM</i>
<i>thereof attributable to CHAPTERS Group AG</i>		<i>€ 7.0 Mio.</i>	<i>€ 9.1 MM</i>	<i>€ 16.9 MM</i>

Base Value

Since the 2020 financial year, CHAPTERS Group AG has been calculating the **Base Value** per share, which takes into account all of the Group's investments in operating company as well as the assets and liabilities of CHAPTERS Group AG as the ultimate parent company.

The shares in the companies acquired through the investment platforms are factored into the Base Value based on the following calculation logic: based on the purchase price paid in relation to the adjusted EBITDA of the operating company used as the basis for the valuation at acquisition, the entry multiple is calculated. Multiplied by the adjusted EBITDA of the relevant financial year, the enterprise value is obtained.

Base Value of operating companies - calculation scheme -

	EBITDA (adj.) of the operating company
x	Entry multiple
=	Enterprise value of the operating company
-	Outstanding debt capital (bank and seller loans)
+	Cash balance not required for operational purposes
-	Outstanding shareholder loans CHAPTERS Group AG
-	Invested capital from minority shareholders
=	Equity value of the operating company
x	CHAPTERS Group AG's share in the company
=	Equity value attributable to CHAPTERS Group AG
+	Outstanding shareholder loans CHAPTERS Group AG
=	Base value of the operating company

The company made the conscious decision to base the calculation on the entry multiple and not, for example, on multiples from comparable, recent transactions to calculate and represent the Base Value consistently over many years – and independently of the company's valuation on the capital market. After deducting the net debt (loans from banks and sellers plus cash on hand not required

⁵ One of the companies in the group regularly releases updates to its software solution, which are usually rolled out every two years. The two-year average was used for the multi-year comparison. The effect on sales amounts to around EUR 0.6 million (reduction in sales compared to the reported figures) in 2022 and EUR 0.2 million increase in 2023. EBITDA (adjusted) for 2022 is around EUR 0.4 million below the one-year figure and around EUR 0.2 million higher for 2023.

⁶ For reasons of comparability, the contribution of Fintiba GmbH is also reported under minority interests for 2023.

for operations) at the level of the respective acquisition company, this results in an equity value for 100% of the shares in the respective company.

The sum of the proportionate equity value attributable to CHAPTERS Group AG of all operating companies plus the shareholder loans provided by CHAPTERS Group AG results in the Base Value of the associated companies. In addition to the Base Value of the associated companies, the market value of the securities account on the respective reporting date and the net debt of CHAPTERS Group AG are included in the calculation.

		2021	2022	2023
	Base Value of associated companies	€ 39.85 MM	€ 60.62 MM	€ 128.77 MM
	<i>thereof amount invested by CHAPTERS Group AG</i>	<i>€ 36.99 MM</i>	<i>€ 53.39 MM</i>	<i>€ 120.23 MM</i>
+	Securities	€ 17.09 MM	€ 36.69 MM	€ 13.6 MM
+	Cash on hand	€ 3.65 MM	€ 17.71 MM	€ 26.95 MM
+/-	Other assets/liabilities	€ 0.32 MM	€ -0.03 MM	€ -0.90 MM
-	Perpetual bond (net)	€ 9.33 MM	€ 10.17 MM	€ 22.18 MM
=	Total Base Value	€ 51.58 MM	€ 104.81 MM	€ 146.23 MM
/	Number of shares at the end of the period	10,999,513	16,066,600	18,149,192
=	Base Value per share	€ 4.69	€ 6.52	€ 8.06

Earnings per share

In addition to the Base Value, the company has also been calculating earnings per share since the 2020 financial year. For this purpose, the annual net income attributable to CHAPTERS GROUP AG (adjusted for accounting-related purchase price depreciation and other consolidation-related effects) of all subsidiaries of CHAPTERS Group AG is added up. The annual net income of companies in which CHAPTERS Group AG holds a minority stake is only included if there are distributions. The result of CHAPTERS Group AG is included in full. At the level of CHAPTERS Group AG, the result from the securities portfolio (realized profits and losses from sales, interest/dividends and depreciation at the end of the year) has a significant influence, so earnings per share without securities result is also calculated. A reconciliation of the reported consolidated net income to earnings per share can be found in the combined management report.

The figure for the 2022 financial year includes income of € 0.20 per share from the sale of operating portfolio companies, while the figure for the 2023 financial year includes income of € 0.04 per share from the sale of operating portfolio companies.

	2021	2022	2023
Annual net income (adj.) of the associated companies attributable to CHAPTERS Group AG	€ 2,085.2 k	€ 5,936.1 k	€ 3,448.7 k
Annual net income of CHAPTERS Group AG	€ 2,084.9 k	€ -5,119.7 k	€ 1,656.4 k
<i>thereof from securities (including the accounting loss on the reissuance of the perpetual bond)</i>	<i>€ 2,297.8 k</i>	<i>€ -5,342.7 k</i>	<i>€ 19.08 k</i>
Number of shares at the end of the period	10,999,513	16,066,600	18,149,192
Adj. earnings per share	€ 0.38	€ 0.05	€ 0.28
Adj. earnings per share without profit from securities	€ 0.17	€ 0.38	€ 0.28

As a holding, CHAPTERS Group AG invests in attractive small and medium-sized companies. We aim to build the home for mission critical businesses. As of December 31, 2023, the group includes 41 operating companies, including 23 companies in the vertical market software sector. The majority of the companies operate in Germany – two companies are active in Austria, one in the Czech Republic and one in Slovakia.

Typically, our investments are made through our investment platforms. However, we occasionally invest directly in operating companies.

As of December 31, 2023, four investment platforms belong to the group: NGC Nachfolgekapital GmbH, Ookam Software GmbH, CarMa Holding GmbH, and mlog capital SAS, in which CHAPTERS Group AG each holds an 80% stake. The remaining 20% is held by the managing directors of the investment platforms as management participation.

In 2023, the company increased its stake in Fintiba GmbH to 55%. Initially, it held 21.5% since May 2021, which was raised to 39.9% in 2022. Additionally, since 2019, CHAPTERS Group AG has maintained a minority stake in E-M-C-direct GmbH & Co. KG, which now stands at 44%.

NGC Nachfolgekapital GmbH

NGC Nachfolgekapital GmbH offers entrepreneurs the opportunity to safely hand over their life's work to the next generation. The goal is to implement sustainable solutions for entrepreneurs and employees and to further promote the development of the company. For this purpose, NGC Nachfolgekapital brings together the capital and talent to continue and/or expand the management of the operating companies. Together with the operational management, the company's development is promoted through organic growth and, for example, through add-on transactions. Specific industries or markets are not defined, and there are also no preferences.

As of December 31, 2023, NGC Nachfolgekapital GmbH is invested in a total of nine operating companies¹. In September 2023, the building services group ARUDI GmbH, which was formerly part of NGC Nachfolgekapital GmbH, was spun off within the scope of a management buyout. ARUDI GmbH includes the companies Gelford GmbH Gebäudereinigung und Dienstleistungen, Diamant Gebäudereinigungsdienst GmbH and Calmund & Riemer GmbH. The group has developed well since the transaction in 2020 and strives to continue to grow through acquisitions in the "real estate-adjacent" service sector. The spin-off allows for a stronger focus on the particular requirements for acquisition growth in this industry and represents a logical step in the ARUDI Group's growth strategy. The company will continue to be managed by the NGC Nachfolgekapital management team and the current managing directors.

¹ The companies speakeasy Berlin GmbH, speakeasy München GmbH, and strassenberger Akademie GmbH, which belong to GfW Gesellschaft für Entwicklung mbH, are considered one company. NEXT Level Learning GmbH was merged into speakeasy München GmbH in the 2023 financial year. DIE NEUE SCHULE GbR and DIE NEUE SCHULE GmbH, which were acquired in the 2023 financial year, are considered one company.



Part of the Group since June 2022

The ENTRO Group was founded in June 2022 with the goal of building a leading integrated group of companies for technical services in the field of access solutions, fire protection, and security technology in German-speaking countries. After an initial investment in September 2022, four additional companies became part of the group in 2023. All members of the ENTRO Group are recognized specialist companies and benefit from the network effects and synergies within the group.

Wassermann GmbH, with locations in Munich and Nuremberg, became part of the group in September 2022 and has been the leading expert for fire protection and gate systems, with the largest service team in northern Bavaria for over 20 years.

Torpedo GmbH, based in Dortmund, became part of the group in July 2023 and is a specialist in the installation and maintenance of industrial doors and gates. In August 2022, a second company from North Rhine-Westphalia became part of the group: Industrie Tore Service GmbH, based in Krefeld. The ITS service professionals take care of all door and gate systems for both commercial and private customers.

In September 2023, the group was expanded to include KHT Industriepartner with locations in Hamburg and Bremen. KHT is a full-service provider that carries out testing, servicing, maintenance, retrofitting, and refurbishment of crane, hoisting and gate technology systems. In December 2023, another company from Hamburg joined. The traditional master business Gebrüder Kuttner GmbH has been the contact for testing, maintenance, servicing, and repairs of doors and gates for 70 years.



Part of the Group since May 2021

With "NC Hops," direkt cnc-systeme gmbh offers one of the leading machine and manufacturer-independent CAD/CAM software solutions for the wood-, plastic-, and aluminum-processing industries. The modular software maps the entire manufacturing process from design and construction through work planning to production and can be individually adapted to specific customer requirements using numerous supplementary modules.

Part of the Group since December 2020



Speakeasy offers conversation-oriented language courses in small groups and language courses for companies and individual tuition and is certified as an examination center for the European language certificate "telc." The school also offers additional services such as support in the visa process and a University Pathway program. The students, who usually pay for the courses themselves, are mainly expats and international students. The group includes speakeasy Berlin GmbH, which operates in Berlin and Hamburg, and speakeasy München GmbH, founded in 2021. In 2023, locations in Bremen, Cologne, and Munich have been added. In the fiscal year 2021, the range was expanded within the scope of an asset deal to include the course portfolio of strassenberger Akademie GmbH for professional training with a focus on law firm and practice management.



Part of the Group since March 2021

Kunstschule Wandsbek GmbH, a state-approved vocational school, has been offering a degree in communication design for over 30 years. Since the acquisition by the subsidiary of NGC Nachfolgekaptial GmbH, GfW Gesellschaft für Weiterbildung GmbH, the range of courses has been expanded to include a Game Creation program. The program, which takes seven semesters, includes a wide range of theoretical and practical training under the guidance of lecturers with practical experience.

Part of the Group since April 2023



DIE NEUE SCHULE as founded in 1984 and – just like the speakeasy group – offers conversation-oriented language courses in small groups as well as language courses for companies and private lessons. telc exams are also part of the program. With its headquarters in West Berlin, DIE NEUE SCHULE ideally complements the GfW Group's existing presence in East Berlin.

Ookam Software GmbH

Ookam Software GmbH is a long-term partner for software companies. With extensive software expertise and an active exchange of experience and knowledge between the acquired companies, Ookam Software GmbH helps support the companies' sustainable development. The company has access to technical experts and successor companies via an actively maintained network. The goal is to strengthen the management, develop the company sustainably, secure the employees' jobs, and promote talents.

As of December 31, 2023, Ookam Software GmbH is invested in a total of 22 operating software companies that offer software solutions tailored to a wide variety of industries – from the sheet metal processing industry to property management, property developers and project development to orchestras. In addition to numerous companies in Germany, the group also includes companies in Austria, the Czech Republic, and Slovakia.

Part of the Group since **Dezember 2023**



With the products Tau-Office and Tau-Cloud, rocom GmbH offers comprehensive management software for social and municipal institutions. The company has been established in this area for more than 25 years, and the solution is specifically tailored to the specific requirements of users. The more than 150 customers include numerous cities and municipalities as well as social organizations such as Caritas and Diakonie.



Part of the Group since **November 2023**

Littera Software and Consulting GmbH, based in Austria and Germany, offers a comprehensive software solution for archive, library, and literature management. The company offers its customers a modern cloud solution to manage all relevant business processes in the industry. As the market leader in Austria with additional positioning in the fragmented German market, the company counts more than 1,700 libraries and schools among its customers.

Part of the Group since **September 2023**



KeyLogic GmbH offers modular software in the area of Computer Aided Facility Management (CAFM). In addition to space and contract management, numerous other features are part of the product, e.g. for safety and occupational health, cleaning management or energy controlling. Customers include public real estate owners as well as commercial building operators and companies. In addition to customers in Germany, the product is also used by customers in Switzerland and Luxembourg



Part of the Group since August 2023

GAIN Software GmbH develops and sells product data management software with comprehensive interfaces to common CAD and ERP systems. The modular system is specifically tailored to the needs of small and medium-sized companies in the manufacturing sector. The more than 140 customers come from various areas with a focus on mechanical and plant engineering.

Part of the Group since June 2023



MWM Software & Consulting GmbH offers special software solutions for the construction industry, including site measuring, quantity determination, and construction billing. The more than 900 customers include project development and general contractors, as well as numerous medium-sized building contractors and tradesmen.



Part of the Group since April 2023

Utilities Systems s.r.o., based in Prague with a subsidiary in Slovakia, develops and sells customer information systems for the water management and energy sector. In addition to the majority of water utilities in the Czech Republic, customers include private electricity and gas suppliers in the Czech Republic, Poland, and Slovakia. The product and customer portfolio are complemented by a solution for public broadcasting companies in the Czech Republic and Slovakia.

Part of the Group since March 2023



Teamware GmbH offers a Microsoft Teams-based SaaS solution for digital project and construction files. The company, founded in 2020, has grown significantly in recent years and ideally complements Ookam Software GmbH's other investments in the construction and real estate software sector.



Part of the Group since January 2023

Conditon-Integrierte Softwareprojekte GmbH develops and sells a software solution for hunting, fishing, and firearms license management in Germany. The more than 500 long-term customers are authorities responsible for administration.

Part of the Group since February/December 2022



In September 2023, Solarys Informatik GmbH and blaulichtSMS GmbH, both based in Austria, merged. With syBOS, the company offers a software solution for managing fire departments as well as mountain, water, and cave rescue. The modular software covers all relevant processes, from personnel, vehicle, supply, and equipment management to compensation and finances. blaulichtSMS alert app offers an additional alerting solution for fire departments, rescue services, and emergency organizations such as the THW to maximize the operational range. The additional alert via app or SMS is supplemented by numerous additional functions such as feedback to the rescue coordination centers, deployment planning, and appointment management. Customers include numerous fire departments and rescue coordination centers in Austria and Germany



Part of the Group since December 2022

Software und Beratung Meinhard GmbH develops and sells the “winKITA” software, a complete system for the administration and billing of daycare centers and kindergartens. In addition, “kiCare”, a supplementary parent portal, is available. The company’s customers primarily include municipal and municipal providers of daycare centers and kindergartens.



Part of the Group since June 2022

With the “easy” software, WAREHaus GmbH offers highly specialized software for utility and heating cost billing for private landlords and property managers. With a broad customer base, the company optimally complements Software24.com GmbH, which has been part of the Ookam Group since April 2021 and offers WIN-Casa, a software solution for property management companies of all sizes.



Part of the Group since May 2022

With “IMKE”, Voigt Software und Beratung AG has been offering a fully integrated industry solution for property developers since 2015. As a device-independent cloud solution, it covers all processes from project development to construction processing and distribution and sales and is primarily used by small and medium-sized real estate developers. The product portfolio of Voigt Software und Beratung AG is supplemented by the products “OLGA” and “THEA”, which offer industry-specific solutions for liquid gas trading and are used by large and well-known companies.



Part of the Group since **December 2021**

The core product of elKom solutions GmbH is a software solution for group consolidation that maps standard functions of group accounting and evaluation in accordance with all common accounting standards. The product portfolio is supplemented by a solution for corporate and group planning as well as a business intelligence solution for analysis, reporting and controlling. Customers include large corporations as well as smaller, medium-sized companies.



Part of the Group since **September 2021**

Corporate Montage Europe GmbH has been a long-standing partner of the software provider ELO Digital Office, one of the leading enterprise content management software solutions, and Bentley, a US provider of CAD software in the construction sector. The product range is supplemented by self-developed software solutions, especially at the interface between CAD and ECM software, to offer customers a comprehensive and custom-made solution.



Part of the Group since **April 2021**

With its "AMADEUS" software, DATEX Software GmbH offers one of the leading complete business management solutions for builders and project developers. The modular software covers all relevant processes in the industry, from project administration to defect management and reporting to financial accounting. The more than 600 customers, some of whom have been using the software for more than 25 years, include smaller property developers and larger real estate developers – mostly for projects in the metropolitan areas of Germany.



Part of the Group since **April 2021**

With "WIN-CASA," Software24.com GmbH offers a highly specialized industry solution for property management companies of all sizes. In addition to standard solutions for managers of rental flats or homeowners' associations, the range is expanded by numerous additional modules, e.g. for equipment management or the creation of individualized reports. The more than 2,000 customers are mainly smaller regional property management companies throughout Germany.



Part of the Group since December 2020

OPAS is the world market leader for orchestra management software and has more than 25 years of experience in this niche. The OPAS software solution was specifically adapted to the needs of orchestra management and functionalities for managing, e.g. sheet music libraries, program planning, and also travel and logistics planning. More than 250 orchestras worldwide (from Australia to China and Europe to the USA) use the software solution, which is available in 15 languages.



Part of the Group since December 2020

With its highly specialized software solution "IT-Blech," BleTec Software GmbH offers a modular software solution focusing on the core operating processes of sheet metal processing companies. The customer focus is on small and medium-sized companies. The company has been able to continuously win new customers over the last few years, and today, the customer base is broad, with more than 150 companies.



Part of the Group since December 2019

The SWH Softwarehaus Heider GmbH develops and sells the school administration software Atlantis, which offers software modules specifically tailored to the requirements of school administrations. In addition to timetable planning and the administration of student data, the range also includes the management of school fees, which is particularly relevant for private institutions or German schools abroad. Customers include renowned private educational providers in Germany as well as German schools abroad. More than half of the customers have been using the software for more than ten years.



Part of the Group since Dezember 2019

gripware datentechnik GmbH develops and sells software solutions to support the ideal construction process. The modular license products include a mobile construction diary with included defect management, as well as solutions for construction time and project planning, financing or budget control, but also modules for monitoring safety and health protection plans, for example. The products are sold by in-house sales staff, software distributors, and customers under a commission scheme. More than 2,000 customers include primarily engineering and architecture offices, construction companies, authorities, and municipalities.

Part of the Group since August 2019



Parity Software GmbH is an ERP software provider specializing in medium-sized companies. The company develops and sells its own software solution covering all standard functionalities of enterprise resource planning such as sales, procurement, storage, CRM, financial accounting, etc. The main customers are small and medium-sized commercial and industrial companies throughout Germany. The company's headquarters are in Eberdingen near Stuttgart, and there is also a branch in Bochum.

Beteiligungen der CarMa Holding GmbH

CarMa Holding GmbH was founded in 2021 with the goal to build an integrated (service) group in the telecommunications sector with a focus on fiber optics.

The first investment in 2021 was the founding of carrierwerke GmbH, which offers a modern and comprehensive service concept for the operation of broadband networks for municipal utilities, municipalities, and other network owners and who serves a nucleus for the further activities in this market. As of December 31, 2023, seven operating companies are part of the group.



Part of the Group since August 2021

carrierwerke GmbH offers a modern and comprehensive service concept for broadband networks for municipal utilities, municipalities, and other network owners. The basis is producing and providing white-label services for Internet, telephone services, and television. Upon request, carrierwerke can also operate the entire broadband network for its customers and connect the customer network supra-regionally and to Internet nodes. The product portfolio is supplemented by software and consulting services. Since its market launch in October 2021, carrierwerke has entered a cooperation with DB Broadband and has won the first municipal utilities as customers

Part of the Group since November 2021



Interactive Network Communications GmbH offers individual technical solutions for commercial clients. In addition to fiber optic Internet products for major customers, services also include solutions in the cyber security environment and the operation of e-mail and data storage in secure environments. The product portfolio and the company's technical equipment complement the range of carrierwerke GmbH within the CarMa Group.



Part of the Group since September 2022

Ingenia Glasfaser is a regional internet service provider in the Hohenlohe region, where it supplies private and business customers with high-performance fiber-optic internet. The company was founded in September 2022 and commenced operations in 2023.

Part of the Group since August 2023



The Glasfaser Direkt Group with its subsidiaries Jobst-NET GmbH and Eifel-Net GmbH became part of the Group in August 2023. The group companies provide internet and telecommunications services for private and commercial customers, Eifel-Net GmbH in the region around Euskirchen, North Rhine-Westphalia, Jobst-NET GmbH in the region around Amberg, Bavaria. Glasfaser Direkt GmbH is active in several areas in Bavaria with expansion projects that are currently being built in cooperation with a construction company.



Part of the Group since November 2023

codewerke GmbH is a software provider with solutions tailored to Internet service providers and carriers. The company was formed in November 2023 from the acquisition of the DECLINA software solution. DECLINA is a solution for customer management and process automation and is supplemented by an automated order route, an end customer portal solution and sales software for end customer sales.

Direct participations by CHAPTERS Group AG

Since 2019, CHAPTERS Group AG has held a minority stake in E-M-C-direct GmbH & Co. KG – a share of 44% since 2022 (previously 39%). In addition, the company acquired a 21.5% stake in Fintiba GmbH in 2021, increasing its share from 39.9% in 2022 to 55%. In addition, CHAPTERS Group AG has been a direct 80% shareholder of the company Kältehelden GmbH since September 2023, which was previously managed by NGC Nachfolgekapital GmbH.



Part of the Group since **May 2021**

Fintiba GmbH was founded in 2016 and has established itself in recent years as one of the leading providers of support for international students and young professionals on their way to Germany. The company based in Frankfurt, Fintiba offers visa applicants the opportunity to open a blocked account online and from abroad, which is necessary for the visa process. Fintiba furthermore supports customers in taking out insurance and obtaining rent guarantees, among other things. Since it was founded, Fintiba has already supported more than 100,000 international students on their way to Germany.



Part of the Group since **August 2020**

Kältehelden GmbH is a "Meisterbetrieb" in the field of refrigeration and air conditioning technology based in Hamburg. The company offers advice, planning, and construction in the field of refrigeration and air conditioning technology, as well as air purification. Furthermore, regular maintenance, including 24-hour emergency service, is also part of the range of services. The founder, managing director and co-partner already has 13 years of experience in the industry and took the step into self-employment in August 2020. The refrigeration and air conditioning technology market is very fragmented throughout Germany, especially in Hamburg, so we see good overall growth potential here (organic and inorganic) and, therefore, support the founder and managing director in setting up a modern refrigeration/air conditioning group.



Part of the Group since **January 2019**

E-M-C-direct GmbH & Co. KG is a developer and wholesaler specializing in cable protection products. In recent years, the customer focus has changed from trade businesses and department stores to large B2B customers throughout the DACH region. The focus of E-M-C-direct is now on photovoltaics, both in open-space systems and in roof installations. Other important target markets include mechanical engineering and commercial vehicle construction as well as retail. Since 2021, with the integration of TOOLOVA, electrotechnical hand tools have also been included in the range, in particular crimping and cutting tools.

The product portfolio ranges from cable ties in a wide range of sizes and specifications to shrink and protective tubing and the necessary accessories. The products are purchased from manufacturing partners in Europe and Asia, and some are also customized. In addition, the company is characterized by high-performance construction site logistics, a wide range of services and private label solutions for resellers.



Combined Management Report for the Financial Year 2023

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A. Basis of the Group and of CHAPTERS Group AG

Business activity and orientation

CHAPTERS Group AG (formerly MEDIQON Group AG) was founded in its current form in 2018. The name was changed to CHAPTERS Group AG in July 2023. The company has been listed on the Basic Board in the Open Market of the Frankfurt Stock Exchange (WKN 661 830) since June 3, 2005.

CHAPTERS Group AG aims to **build the home for mission critical businesses**. For us, “mission-critical” are those products and services that are essential for the end customers – be it an ERP system or a blocked account for the visa process.

We invest – usually with a majority stake and indirectly through our platform companies – in companies that have been established in their respective market segments for many years.

When it comes to its corporate investments, CHAPTERS Group AG – like the platform companies – follows an entrepreneurial and long-term approach. The development of the operating associated companies is driven forward sustainably and in partnership with the respective managing directors and employees. Sales of investment companies to increase the company’s value in the short term are expressly not part of the strategy. Nevertheless, divestitures can occur, especially if they allow companies and managing directors to take the next step on their growth path.

CHAPTERS Group AG as a holding

CHAPTERS Group AG invests in companies that have usually been established in their respective market segment for many years. CHAPTERS Group AG’s investments in operating companies (the “portfolio companies”) usually do not take place via a direct participation of CHAPTERS Group AG. Instead, platform companies are established, in which CHAPTERS Group AG holds a majority stake. The platform companies, in turn, acquire ownership in the operating companies. The equity capital required for the investments is provided by CHAPTERS Group AG as the ultimate parent company.

As part of the corporate strategy, in individual cases, CHAPTERS Group AG also participates directly and with a minority stake in operating companies.

Goals and strategy

Increasing the company value by expanding the portfolio

CHAPTERS Group AG pursues the goal of sustainably increasing the Group’s value in the long term. To this end, the existing portfolio of operating companies is to be further expanded in the coming years – both through acquisition-based growth of the existing platform companies as well as through the establishment of new or participation in existing platform companies or direct investments in operating companies.

The establishment of or the participation in new platform companies or direct company investments by CHAPTERS Group AG does not follow a set investment strategy. Potential new platforms are characterized by the fact that there is growth and investment potential in the relevant market over the coming years and that, therefore, the business models can scale. Most importantly, there must

be an operational team that is willing to build the segment together with CHAPTERS Group AG as a long-term capital partner. In particular in the vertical market software segment, we see opportunities for further growth over the coming years, especially in other European countries. The focus is on investments with purchase prices in the mid-million-euro range, which are only considered professionally by few investors, if at all.

Sustainable further development of the operating portfolio companies

The companies in which CHAPTERS Group AG or its platform companies invest have usually been successfully established in their respective niches for decades and are characterized by sustainable profitability. The companies will continue to operate as independent companies, and their individual corporate culture will be preserved. Networking within the group enables the exchange of relevant expert knowledge and puts the companies in a stable position for further growth.

Platform companies as growth drivers

The platform companies are the main drivers for the growth of CHAPTERS Group AG as a group. As of December 31, 2023, five platforms belong to the group. CHAPTERS Group AG holds an 80% stake in each of NGC Nachfolgekapital GmbH, Ookam Software GmbH, CarMa Holding GmbH and mlog capital SAS. The remaining 20% is held by the respective managing directors as part of a management participation.

In addition, CHAPTERS Group AG holds a 55% stake in Fintiba GmbH. 35% of the shares are held by the management team of Fintiba GmbH, and the remaining 10% by two angel investors. Unlike with the other four companies, CHAPTERS Group AG has taken a direct stake in an operational company.

The five platform companies focus on different markets and pursue independent strategies. The respective management sets those strategies and is responsible for the execution. CHAPTERS Group AG is in regular contact with the respective managing directors and acts as a “sparring partner”. The selection of potential new operating companies within the respective platforms is actively and independently controlled by the respective management.

NGC Nachfolgekapital GmbH: Corporate succession in the German SME sector

NGC Nachfolgekapital GmbH, based in Munich, was founded in March 2019 with Alexander Preußner as managing director and minority shareholder. NGC Nachfolgekapital GmbH invests in profitable companies that are in need of a succession solution for financial and/or personnel reasons or look for a capital partner for further growth of the company. NGC Nachfolgekapital GmbH brings together the capital and potential successors for the continuation and/or expansion of the management of the operating companies.

Specific sectors or markets are not defined, and there are also no preferences. The companies acquired to date from the software, education, and B2B services sector and are characterized by a sustainable business model and a strong competitive position in their particular niche.

Together with the operational management, the development of the company is promoted, both through organic growth and, for example, through add-on transactions.

As of December 31, 2023, NGC Nachfolgekapital GmbH is invested in a total of nine operating companies¹, one of which is in the software sector, three in education sector and five in the area of technical services for industrial access, security, and fire protection systems.

Ookam Software GmbH: Entrepreneurial partner for software companies

Ookam Software GmbH, based in Berlin, was founded in May 2019 together with Steffen von Büнау and Niels Reinhard as managing directors and minority shareholders. Ookam Software GmbH focuses on building a decentralized software group and a talent pool of executives within the Ookam organization who lead the operating companies. The target companies are vertical market software companies and specialized technology companies characterized by long-term customer loyalty and, as a result, a high proportion of recurring revenue. The target companies continue to operate independently; Ookam Software GmbH contributes to the sustainable development of the companies with its software expertise and an active exchange of experience and knowledge.

As of December 31, 2023, Ookam Software GmbH is invested in a total of 22 operating software companies² that offer software solutions tailored to a wide variety of industries – from the sheet metal processing industry to property management, property, and project developers to orchestras.

CarMa Holding GmbH: Modern solutions for the telecommunications market

CarMa Holding GmbH, based in Aalen, was founded in 2021 together with Marco Zapf and Michael Neska. CarMa Holding GmbH is building an integrated (service) group in the telecommunications sector with a focus on fiber optics. Marco Zapf and Michael Neska, two entrepreneurs with many years of experience and a broad network in this market, want to position CarMa Holding GmbH in this segment in the next few years and expand it with CHAPTERS Group AG as a long-term partner.

The first investment in 2021 was the founding of carrierwerke GmbH, which offers a modern and comprehensive service concept for the operation of broadband networks for municipal utilities, municipalities, and other network owners. After two smaller investments in 2021 and 2022, the Glasfaser Direkt Group, with three operating companies, was acquired in 2023 within the scope of its insolvency proceedings. Furthermore, the range of services was expanded through the acquisition of a software solution for Internet service providers. In the infrastructure sector, CarMa Holding GmbH intends to be active with financing and construction partners.

¹ The companies speakeasy Berlin GmbH, speakeasy München GmbH and strassenberger Akademie GmbH, which belong to GfW Gesellschaft für Weiterbildung mbH, are considered one company. NEXT Level Learning GmbH, which was also merged in the previous year, was merged into speakeasy München GmbH in the 2023 financial year. DIE NEUE SCHULE GbR and DIE NEUE SCHULE GmbH, which were acquired in the 2023 financial year, are considered one company.

² The companies blaulicht SMS GmbH and Solarys Informatik GmbH, which merged in the 2023 financial year, are counted as two companies. Two of the companies that became part of the group in the 2023 financial year have fully owned operating subsidiaries. LITTERA Software & Consulting GmbH, based in Austria, has a subsidiary of the same name in Germany. UTILITIES SYSTEMS s.r.o. based in the Czech Republic has partnered with USYS Slovakia s.r.o., a subsidiary in the Slovak Republic. Both companies are considered together with their respective parent company.

Fintiba GmbH: Provider of financial and insurance products for international students and expats

Fintiba GmbH was founded in 2016 and has established itself as one of the leading providers of support for international students and young professionals on their way to Germany in recent years. The company, based in Frankfurt am Main, offers the opening of blocked accounts as required for the visa process online and from abroad to visa applicants. In addition, Fintiba supports its customers, among other things, in obtaining insurances and rent guarantees. Since it was founded, Fintiba has already supported more than 100,000 international students on their way to Germany.

Under the management of founder Bastian Krieghoff, the company has grown strongly and profitably in recent years. In addition, a management team was set up that enables the business to scale and develop rapidly. The vision of Fintiba GmbH is to be the central point of contact for all (financial) products and services required in Germany for foreign students and young professionals.

CHAPTERS Group AG acquired 21.5% of the shares in Fintiba GmbH in May 2021 and increased its stake over the last years to by now 55%. As a long-term partner with a strong capital base, we can accompany and support Fintiba GmbH in the implementation of the growth strategy.

mlog capital SAS: Home for software companies in France and Benelux

mlog capital SAS was established as a platform company in France in July 2023. Minority shareholders are Lars and Thorsten Ahns, with Thorsten Ahns managing the platform.

mlog capital SAS intends to create a permanent home for software companies in France and Benelux that operate in a niche market and are characterized by a diversified and loyal customer base and a high share of recurring revenues. The operating companies are to continue to operate independently in a decentralized organizational structure and benefit from the exchange of knowledge with other group companies and development opportunities for local talent within the group. No transactions took place in the 2023 financial year; the first two companies became part of the group in January 2024.

Control system

Participation structures as essential control element

The chosen participation and incentive structures are key control elements at the level of CHAPTERS Group AG as the ultimate parent company. The management of the respective platform companies holds a share of 20% in the share capital of the platform; the management team of Fintiba GmbH holds 35% of the shares in the company.

The capital required to finance the acquisition of new operating portfolio companies and, if necessary, also for the business activities of the companies is provided by CHAPTERS Group AG as the ultimate parent company in the form of shareholder loans that bear interest at an annual rate of 10%. This provides a clear incentive for the group companies to only make investments with an expected return that exceeds this value. In addition, there is an incentive to return excess funds to CHAPTERS Group AG, provided reinvestment in one's own business does not lead to a higher return.

The operating companies are regularly acquired via acquisition companies set up by the platform companies. Here, too, there are occasionally management participations via a minority interest to incentivize the respective management of the operating companies.

Decentralized organizational structures

CHAPTERS Group AG, as well as the platform companies are organized in decentralized structures. Operational decision-making authority lies with the teams closest to the respective customer:

The identification and analysis of new operating companies, as well as the structuring of the transactions, is the responsibility of the respective platforms. Potential investments are presented to CHAPTERS Group AG and discussed and validated by the Executive Board (if applicable, together with the Supervisory Board), and an investment decision is made.

The group's operating portfolio companies are managed independently by the respective management.

CHAPTERS Group AG monitors the operational development based on report during the year, which in particular include the financial interims reporting of the respective operating companies.

The central management element is regular exchange with the management of the platform companies, who are primarily responsible for supervising and controlling the operational development of the operating companies they have acquired. The intensity and frequency of the exchange depend largely on the operational development of the respective company.

Base Value as central control variable

CHAPTERS Group AG pursues the goal of sustainably increasing the Group's value in the long term. The company is not focused on a short-term increase in value through sales proceeds but rather on a long-term increase in value through the development and expansion of the Group.

Since the 2020 financial year, CHAPTERS Group AG has been calculating the Base Value as a key performance indicator, which reflects all of the Group's investments in operating portfolio companies as well as the assets and liabilities of CHAPTERS Group AG as the ultimate parent company.

The shares in the companies acquired through the platform companies are factored into the Base Value based on the following calculation logic: Based on the purchase price paid in relation to the adjusted EBITDA of the operating company used as the basis for the valuation at the time of acquisition, the entry multiple for 100% of the shares is calculated. Multiplied by the adjusted EBITDA for the respective financial year, the enterprise value of the operating company is calculated. Deducting the net debt (bank and seller loans plus cash not required for operations) at the level of the respective acquisition company results in an equity value for 100% of the shares. The liquidity preference of shareholder loans, as well as capital-disproportionate shares agreed under corporate law (e.g. through preferential dividends on capital reserves), is taken into account in the calculation.

The company has made the conscious decision to base the calculation on the entry multiple and not, for example, on multiples from recent comparable transactions to calculate the Base Value

consistently over many years – and independently of the company's valuation on the stock exchanges.

The sum of the equity value of all operating portfolio companies attributable to CHAPTERS Group AG results in the Base Value of the operating portfolio companies (including the shareholder loans made available by CHAPTERS Group AG for the acquisition).

In addition to the Base Value of the operating portfolio companies, the market value on the respective reporting date of the securities account of CHAPTERS Group AG as the ultimate parent company and the net debt of CHAPTERS Group AG are included in the calculation.

Economic factors influencing the Base Value

Derived from the Base Value of the portfolio companies, there are three economic influencing factors for the development of this key variable:

Operational performance of the portfolio companies: Revenues and adjusted EBITDA

All platform companies pursue the goal of achieving long-term, sustainable growth of the acquired companies. An increase in revenues will have a lasting positive effect on the company's development in the coming years, particularly in the case of software companies with a high proportion of recurring revenues. Growth will be driven, among other things, by optimizing sales processes, expanding the sales team, and adjusting the pricing policy to current market conditions.

Adjusted earnings before interest, taxes, depreciation, and amortization (adjusted EBITDA) are used to measure the company's operational performance to consider the actual earning power – regardless of, for example, the selected financing structure, depreciation on the purchase prices or special taxation effects. Due to the selection of business models of the operating associated companies, characterized by low capital expenditures, depreciation of property, plant and equipment is only minimal. Adjustments applied to the EBITDA are made to reflect the long-term and sustainable profitability of the operating companies. In addition to the build-up of deferred revenue, the corrections relate to the cost side of the company and consist of corrections for one-off expenses, start-up losses, and legal and consulting costs incurred in connection with the sale of the company to one of the platform companies and double management salaries resulting from the business model.

Invested capital

The long-term increase in the Base Value is also driven by the ongoing investment activity by the platform companies. The acquisition of new portfolio companies has no short-term impact on the Base Value, as the free funds available at the level of CHAPTERS Group AG are reduced accordingly by providing the required capital. In the long term, the Base Value increases with increasing investment activity due to a positive development of the operating companies and the debt reduction at the level of the respective acquisition company driven by a positive operating cash flow.

Cash flow conversion of the operating portfolio companies

The excess liquidity generated by the operating portfolio companies is primarily used to service the debt financing taken out, increasing the respective company's equity value. Any additional free funds are initially used to repay the shareholder loans of CHAPTERS Group AG and are therefore available for new investments by the parent company. In the medium term – after the repayment of external financing and shareholder loans – distributions from the operating companies to the platforms companies are intended. The funds can either be used on the platform level for reinvestments or distributed to CHAPTERS Group AG as the parent company.

B. Economic report

Macroeconomic and industry-related environment

Weighed down by the continued uncertainty and the impact, particularly on energy prices, as a result of Russia's war of aggression on Ukraine, economic growth in the European Union was subdued in 2023 as a whole. The ongoing shortage of skilled workers is also still noticeable. After growth in the gross domestic product in the European Union of 3,5%³ in 2022, the gross domestic product only increased slightly to 0.4% in 2023. The German economy recorded a slight decline of 0.3%³ (previous year: plus 1.8%). The inflation rate in Germany was 6,0%⁴, slightly below the EU average of 6.4% but above the inflation of 5.4% in the entire euro area.

Software- and IT-Markt continues to grow

23 of the 41 companies in which CHAPTERS Group AG holds shares (directly or indirectly) offer industry-specific software solutions. According to the industry association of the German information and telecommunications industry (bitkom e.V.), the German IT market once again recorded significant growth in 2023. The market volume in the software sector increased by a total of 9.5% to EUR 71.5 billion in 2023. The driver for the positive development is, among other things, the ongoing digitalization trend, especially in the German SME sector. According to surveys by the KfW Mittelstandspanel, digitalization spending by German SMEs increased from EUR 17.5 billion to EUR 29.3 billion between 2019 and 2022. Projects for the digitalization of customer and supplier contacts, the introduction of new applications, the development of know-how and the reorganization of the workflow still make up the largest part of the digitalization projects.⁵ The digitalization trend in SMEs can also be observed in other European countries: in a survey conducted in 2019, 30-40% of medium-sized companies in France, Poland, Spain, and the UK named digitalization as a top priority for management. Overall, 76% of medium-sized companies in these countries (including Germany) consider digitalization to be a priority for growth.⁶

³ Statistical Office of the European Union, adjusted for prices

⁴ Statistical Office of the European Union, annual change in the harmonized consumer price index.

⁵ KfW Digitalization Report for SMEs 2023, April 2024

⁶ "Going Digital – The Challenges Facing European SMEs", published by KfW in cooperation with development banks from France, Spain, Poland, and the UK.

The number of international students at German universities is growing

The group companies, speakeasy Berlin GmbH and speakeasy München GmbH, offer German courses for international expats and students. Fintiba GmbH supports international students and young professionals on their way to Germany.

According to surveys by the German Academic Exchange Service e.V., the number of international students at German universities increased by around 5.2% to 367.6 thousand⁷ in the 2022/23 winter semester. Germany is the most important non-English-speaking host country for international students and ranks fourth overall on the list of host countries after the USA, UK, and Australia. Around one-third come to Germany from the Asia/Pacific region, around 19% from North Africa and the Middle East, and around 5.5% each from sub-Saharan Africa and Latin America. Around 67% of students come to a German university to pursue a master's degree or doctorate. More than 50% stay in Germany for at least five years after completing their studies – 45% stay in Germany for more than ten years.⁸

Significant expansion in the fiber optic sector

In the first half of 2023 alone, the proportion of households equipped with fiber optic connections in Germany rose from around 31% to around 36%.⁹ While Germany has caught up in a European comparison, it is still well below the European average of around 70% (as of September 2023).¹⁰ Alternative network operators continue to make the largest contribution to the expansion. Although Deutsche Telekom has increased its activities, as of June 2023, only 33% of the households additionally supplied with fiber optics had been upgraded by Deutsche Telekom. Municipalities, municipal utilities, and infrastructure funds play a significant role here.

Continued upward trend in company successions

Both NGC Nachfolgekapital GmbH and Ookam Software GmbH regularly acquire companies as part of succession solutions when the founders and managing directors wish to retire from the day-to-day management for personal reasons. Due to demographic factors, the number of company successions in the German SME sector has been growing for years. According to estimates by the Institut für Mittelstandsforschung Bonn, around 190,000 companies in Germany are due to be handed over between 2022 to 2026 because the owners want to withdraw from running the business for personal reasons.¹¹ At 45.1%, companies that offer company-related services make up the vast majority. Around 40% of succession-driven handovers are expected for companies with revenues between EUR 1 million and EUR 25 million, which are particularly relevant for Ookam Software GmbH and NGC Nachfolgekapital GmbH.

Given the demographic development in Europe, it can be assumed that the trend is similar in other European countries.

⁷ Wissenschaft weltoffen kompakt, 2024 (DAAD/DWHZ)

⁸ Retention and economic impact of international students in the OECD in International migration outlook 2022, OECD

⁹ BREKO market analysis 2023, August 2023

¹⁰ FFTH Council Europe, FTTH Market Panorama Europe, September 2023

¹¹ Institute for SME Research Bonn, data and facts No. 27: Company successions in Germany 2022 to 2026

Business performance

The Group's growth continued successfully in the 2023 financial year. A total of 18 operating companies have become part of the Group, eight of which are under Ookam Software GmbH, and five are under NGC Nachfolgekapital GmbH. CarMa Holding GmbH has invested in four operating companies (one of which was founded as a new company), and a company founded in 2022 has started operations.

In September 2023, the building services group ARUDI GmbH was spun off by means of a management buyout from NGC Nachfolgekapital GmbH. ARUDI GmbH holds the shares in the operating companies gelford GmbH Gebäudereinigung und Dienstleistungen, Diamant Gebäudereinigungsdienst GmbH and Calmund & Riemer GmbH.¹² The group has developed well since the first transaction in 2020 and strives to continue to grow through acquisitions in the real estate-adjacent service sector. The spin-off ensures a stronger focus on the special requirements for growth by acquisition in this industry and represents a logical step in the growth strategy of the ARUDI-group. The company will continue to be managed by the NGC Nachfolgekapital management team and the operational management teams.

As of December 31, 2023, a total of 41 operating companies belong to the group, one of which is a minority interest (previous year: 26 companies, two of which were minority interests). As in the previous year, CHAPTERS Group AG also has a minority stake in two other companies that are currently not operationally active and has held – since 2021 – a 20.00% share in MedNation AG (formerly Eifelhöhen-Klinik AG).

Key figures as of December 31, 2023

The successfully continued growth of the group in the fiscal year 2023 is reflected in a significant increase in the key figures:

	2023	2022
Base Value per share	€ 8.06	€ 6.52
Adjusted earnings per share	€ 0.28	€ 0.05
Adj. earnings per share, excluding securities income ¹³	€ 0.28	€ 0.38
Operating portfolio companies (majority holdings)	40	24
Minority holdings in operating companies (unless listed)	1	2
Invested capital ¹⁴	€ 165.8 MM ¹⁵	€ 100.7 MM
<i>thereof for acquisition and investment in minority holdings of the Group (unless listed)</i>	<i>€ 15.5 MM</i>	<i>€ 9.4 MM</i>

¹² Calmund & Riemer GmbH took over the business activities of its sister company BASTEX Schädlingsbekämpfung & Hygienetechnik GmbH

¹³ Includes one-off income from the sale of an operating associated company by NGC Nachfolgekapital of EUR 0.20 per share in 2022 and EUR 0.04 per share in 2023.

¹⁴ Includes the total capital invested for the acquisition of group companies (including debt financing and equity contributions from minority shareholders) as well as funds provided by CHAPTERS Group AG for the operational business of subsidiaries. As far as minority investments are concerned, only the amount invested by CHAPTERS Group AG for the acquisition of the company is taken into account.

¹⁵ Excluding the investments in the ARUDI Group included in previous years.

The values shown for **revenue** and **EBITDA** are a pro-forma consideration that includes all operating associated companies belonging to the group as of December 31, 2023, for the entire fiscal year.

	2023	2022
Revenue of operating companies (majority holdings) ¹⁶	€ 87.2 MM	€ 55.2 MM
EBITDA (adjusted) of operating companies (majority holdings)	€24.5 MM	€ 14.9 MM
Revenue of operating companies (minority holdings)	€ 5.2 MM	€ 11.9 MM
EBITDA (adjusted) of operating companies (minority holdings)	€ 0.6 MM	€ 1.9 MM

According to section 301 HGB, the calculation of revenue and EBITDA in the consolidated financial statements only includes the results for the period in which the company was part of the group. In addition to the operating companies, CHAPTERS Group AG and the platform companies and acquisition companies are also included in the consolidated financial statements. Costs at the level of the platform companies and acquisition companies are mainly incurred to drive the group's further growth by reviewing new acquisitions on the one hand and the further development of the operative investment companies (e.g., setting up advisory boards made up of industry experts) on the other.

Reconciliation of revenue and EBITDA to the consolidated financial statements

	Revenue	EBITDA (reported) ¹⁷
Sum of all operating portfolio companies	92.43 MM €	21.17 MM €
- <i>thereof from minority holdings</i>	€ 5.23 MM	€ 0.38 MM
- <i>thereof before the time of acquisition</i>	€ 29.49 MM	€ 8.80 MM
+ <i>thereof at the time of sale</i>	€ 12.88 MM	€ 1.97 MM
= Sum of operating companies included in the consolidated financial statements	€ 70.59 MM	€ 13.96 MM
+ <i>Platform companies and acquisition companies</i>	€ 0.18 MM	€ -2.95 MM
+ <i>CHAPTERS Group AG und Beteiligungsgesellschaft</i>	€ 0.00 MM	€ -2.86 MM
= Value in the consolidated financial statement	€ 70,77 MM	€ 8,15 MM

The **adjusted EBITDA** for the full year 2023 of all operating companies, in which CHAPTERS Group AG directly or indirectly holds a majority stake amounts to EUR 24.52 million. The corrections applied to EBITDA amount to a total of around EUR 3.73 million in the 2023 financial year (previous year: EUR 3.40 million). Thereof, around EUR 0.76 million related to the increase in deferred revenues (offset against the reduction of such revenues in the financial year), which were already received in the 2023 financial year, but based on the provisions of the German Commercial Code (HGB) will only be recognized as income in the 2024 financial year and subsequent years. EUR 0.57 million relate to

¹⁶ Only majority interests of the Group included

¹⁷ For the calculation of the reported EBITDA, the reduction in inventories of finished goods and work in progress resulting from the purchase price allocation, income from the reversal of provisions and income, losses and costs from the disposal of non-current assets are not taken into account. The calculation can be found in the notes on the Group's earnings position.

start-up costs for the newly founded operating companies in the group. Around EUR 0.94 million is attributable to double managing director salaries resulting from the business model and payments to previous shareholders. The seller has usually served as managing director of the companies acquired through one of the platforms. After acquisition, management is handed over to a new managing director. To make the transition as smooth as possible, the previous managing director usually stays on board for a few months and supports the process. EUR 0.82 million is attributable to income and expenses relating to other periods generated in the operating companies as well as one-off expenses, e.g. relocation costs, costs relating to legal counsel, recruiting costs, etc. EUR 0.62 million relates to external costs for new product development.

Development of the companies that were part of the group in 2022 and 2023¹⁸

	2022	2023	Δ
Revenue	€ 38.67 MM	€ 43.98 MM	13.7%
EBITDA (reported)	€ 8.23 MM	€ 9.09 MM	10.4%
EBITDA (adjusted)	€ 11.55 MM	€ 11.99 MM	3.9%

In addition to the growth driven by the expansion of the group companies, the companies that were already part of the Group in the 2022 financial year have also developed positively in line with expectations at the time the 2022 consolidated financial statements were prepared. Revenue for the

2023 financial year of the operating portfolio companies that were already part of the Group at the end of 2022 increased by a total of 13.7%. The reported EBITDA is 10.4% above the previous year's figure, driven on the one hand by one of the two newly founded companies being part of the group breaking even, as well as the elimination of one-off expenses and double managing director salaries in transactions that took place in the 2022 financial year. Accordingly, adjusted EBITDA grew less strongly at 3.9%. The slight decline in the adjusted EBITDA margin from 30% to 27% is also largely due to the two newly established companies being part of the Group. Both were able to increase their sales significantly, but the EBITDA effect cannot be seen to the same extent yet¹⁹.

Base Value per share

The Base Value per share as of December 31, 2023, is 8.06 euros per share, slightly above the expected range of 6.80 to 7.80 euros per share. The main influencing factor here are the company's capital increases in May and December 2023, which took place at an issue price above the Base Value relevant at the time of the respective capital increase.

Adjusted earnings per share

Inherent to the business model of CHAPTERS Group AG and its subsidiaries, the company's consolidated earnings are particularly influenced by the results of capital consolidation and the resulting amortization of intangible assets, and the reversal of the order volume disclosed as part of

¹⁸ Only majority stakes. The companies that belong to the ARUDI Group are not included in the evaluation. One of the companies belonging to the group regularly publishes updates to the software solution, which are usually released every two years. The two-year average was used for the annual comparison.

¹⁹ Negative EBITDA contributions from newly established companies are corrected to EUR 0.00 for evaluation in the adjusted EBITDA.

the purchase price allocation and the associated reversal of deferred liabilities taxes. The amortization of goodwill or company value also significantly impacts the consolidated result.

For the adjusted earnings, the consolidated net loss for the year is adjusted for these effects (and the resulting share thereof attributable to minorities). In addition – as for revenue and EBITDA – the earnings of the companies acquired in the current fiscal year, which were generated before the acquisition by a group company, are also taken into account (adjusted proportionally for the shares of minority shareholders at the various levels). The result from associated companies is only considered for the calculation if they are distributions (after taxes).

Reconciliation of net income to adjusted earnings per share (in EUR thousands)

	2023	2022
Net loss for the year	€ -6,390.72	€ -6,604.34
- Shares of other shareholders	€ -2,306.62	€ -719.31
= Consolidated net loss	€ -4,084.09	€ -5,885.03
+ Reduction in inventories of finished goods from purchase price allocation	€ 738.99	€ 581.32
+ Depreciation of assets from purchase price allocation and goodwill	€ 10,963.63	€ 6,987.52
- Reversal of deferred tax liabilities	€ 718.61	€ 558.83
- thereof included in shares held by other shareholders	€ 2,795.76	€ 1,772.37
+ Other consolidation-related adjustments (if attributable to the parent company)	€ -1,420.97	€ -18.59
Adjustment of the consolidated loss from the results of capital consolidation	€ 6,767.28	€ 5,219.05
- Results from associated companies	€ 1,194.66	€ -352.75
+ Dividends received from associated companies	€ 1,316.70	€ 0.00
Adjustment of the consolidated loss from the results of associated companies	€ 122.04	€ 352.75
+ Results of subsidiaries before the acquisition date	€ 3,752.98	€ 1,407.28
- thereof shares of other shareholders	€ 1,453.09	€ 277.62
Adjustment of the consolidated loss from results before the acquisition date	€ 2,299.90	€ 1,129.66
= Adjusted (group) net income	€ 5,105.11	€ 816.42
/ Number of shares at the end of the year	18,149,192	16,066,600
= Adj. earnings per share	€ 0.28	€ 0.05
- Earnings per share from the CHAPTERS Group AG securities portfolio ²⁰	€ 0.00	€ -0.33
= Adjusted earnings per share, excluding income from securities	€ 0.28	€ 0.38

²⁰ Including EUR 888.26 thousand loss from the re-issue of the perpetual bond

Financial position and net assets of the group

Effects of capital consolidation and purchase price allocation on the asset position

Inherent to the business model of CHAPTERS Group AG and its subsidiaries, the Group's balance sheet is particularly influenced by the results of the capital consolidation of the subsidiaries belonging to the Group. The value of the investment (purchase price and transaction costs), which is usually recognized at the level of the acquisition company, is offset against the equity of the operating company attributable to the acquisition company.

Capital consolidation is carried out using the revaluation method: As part of a purchase price allocation, the main (in)tangible assets of the respective operating company are identified, if applicable, subjected to a revaluation. The uncovered hidden reserves are capitalized in the consolidated financial statements and – to the extent relevant – amortized or – if necessary – subject to write down.

Since the Group companies are companies from the service and software sector, whose business model is characterized by low capital expenditure and debt, no significant hidden reserves or losses were identified in the tangible assets and liabilities, except for one property acquired as part for the acquisition of an operating company. In the course of the business model analyses, the following intangible assets were identified and assessed:

Software: The costs of internally developed software of the operating companies were usually not capitalized in the individual financial statements. Within the scope of the purchase price allocation, the software was reevaluated and – depending on how modern the software solution is – depreciated over three to seven years.

Brand: The companies acquired through the platforms are regularly established and well-known in their specific niches so that a value can be assigned to the respective brand. The assets identified this way are depreciated over 15 years.

Order Backlog: The Group's software companies, in particular, are characterized by a high proportion of maintenance contracts, which are accompanied by annual maintenance fee payments by the clients. Depending on the time of acquisition and the notice periods of the contracts, there are hidden reserves at the time of acquisition based on future revenues that were uncovered as part of the purchase price allocation. The assets identified this way are recognized as current assets under finished products and goods (thereof from purchase price allocation) and reversed over the remaining term of the contracts (usually one year).

Deferred tax liabilities accrued for the hidden reserves during the initial consolidation and the resulting timing and valuation differences between the commercial and tax balance sheets. These deferred taxes are recognized in equity upon initial consolidation. For the simplification purposes, an average combined tax rate of 30% was used for companies based in Germany. The country-specific tax rate is used to calculate deferred tax liabilities for companies based abroad. The deferred tax liabilities are released in the consolidated income statement over the useful life of the respective assets.

The difference between the valuation of the investment at the direct parent company and the revalued equity in the fully consolidated subsidiary is recorded in the consolidated balance sheet as **goodwill**, which is amortized over ten years. The goodwill reflects the long-term business relationships as well as the good operating profitability of the operating portfolio companies. The respective acquisition date of the subsidiaries was chosen as the valuation date.

There are minority shareholders at various levels in the corporate structure of CHAPTERS Group. If capital consolidation takes place at the relevant level, the shares attributable to the minority shareholders in the depreciation and liquidation of the hidden reserves in the assets and goodwill disclosed in the purchase price allocation are allocated to the share of other shareholders in the net profit for the year or in the equity carried forward (amounts in EUR thousands.).

The disposals and write-offs in the fiscal year 2023 result from the disposal of companies from the scope of consolidation.

	Acquisitions 2019-2022	Disposals/ De- recognition 2019-2022	Depreciation/ reversal 2019-2022	End of 2022/ start of 2023	Acquisition	Disposals / De- recognition	Depreciation/ reversal	End of 2023
Goodwill	71,175.8	-1,645.8	-10,141.4	59,388.6	61,998.8	-12,755.3	-8,954.1	99,678.0
Intangible assets from revaluation	11,643.9	-398.2	-2,538.2	8,707.5	8,886.9	5.9	-2,009.4	15,590.8
Property, plant, and equipment from revaluation	316.0		-24.0	292.1	-170.4		-0.2	121.5
Order backlog from revaluation	2,829.8		-2,051.5	778.2	1,972.6	-114.7	-739.0	1,897.1
Deferred tax	4,049.8		1,302.7	2,747.1	3,074.1		718.6	5,102.6
Effect on net income			-13,452.4				-10,984.0	
thereof included in non-controlling interest			3,690.3				2,795.8	
Share in consolidated earnings/loss carried forward			-9,762.1	-9,762.1			-8,188.3	-17,950.3

Financial position of the Group

The Group's **total assets** increased by around 32% from EUR 169.28 million to EUR 223.95 million in the 2023 financial year as a result of the ongoing acquisition activity of the platform companies.

The Group's **fixed assets** increased from EUR 129.61 million to EUR 154.45 million in the 2023 financial year, with around 75% attributable to goodwill²¹ and hidden reserves on assets uncovered as part of the purchase price allocation (previous year: 53%). The significant increase in the share of goodwill and hidden reserves on fixed assets uncovered as part of the purchase price allocation is due,

²¹ Thereof, an amount of EUR 0.17 million (previous year: EUR 0.12 million) relates to goodwill that was already recognized in the acquired companies before the acquisition by CHAPTERS Group AG and its subsidiaries.

among other things, to the reallocation of funds invested in the securities portfolio held by CHAPTERS Group AG as the parent company within the scope of liquidity management in the previous financial year towards the acquisition of new operating portfolio companies.

The group's **financial assets** dropped from EUR 57.10 million to EUR 30.29 million in the 2023 financial year. The securities portfolio held by CHAPTERS Group AG as the parent company amounts to EUR 11.44 million (previous year: EUR 36.47 million); securities are held to a smaller extent at the group company level. The shares in the perpetual bond held by the company in the previous year were re-issued in May 2023 and are, therefore, no longer included in fixed assets (previous year: EUR 10.17 million). Further information on the composition of the securities portfolio and the accounting of the perpetual bond can be found in the presentation of the financial and asset position of CHAPTERS Group AG as the parent company of the group.

The included **shares in affiliated companies (not consolidated)** amounting to EUR 1.22 million (previous year: EUR 0.00 million) related to the acquisition of two companies by CarMa Holding GmbH in the 2023 financial year, which are not yet included in the scope of consolidation because the necessary financial statements for the individual companies were not yet available at the time the consolidated financial statements were prepared. The inclusion was therefore waived with reference to Section 296 (1) No. 2 HGB.

In addition, the **shares in associated companies** held by CHAPTERS Group AG or its fully owned subsidiary MEDIQON Beteiligungsgesellschaft mbH in the amount of EUR 15.59 million (previous year: EUR 9.03 million) are reported in the financial assets. Shares in associated companies are valued at acquisition costs less dividends received since the investment and the cumulative results of the respective company. If the acquisition costs exceed or fall short of the respective company's balance sheet equity at the time of acquisition, the difference will be released over ten years. The reversal is included in the results from associated companies. In the 2023 financial year, the shares increased by EUR 12.16 million through the payment into the capital reserve in a subsidiary of MEDIQON Beteiligungsgesellschaft mbH. As a result of the increase in the share held by MEDIQON Beteiligungsgesellschaft mbH in Fintiba GmbH from 39.9% to 55%, Fintiba GmbH is included in the scope of consolidation as of December 31, 2023, and is no longer included in the shares in associated companies. This results in a reduction of EUR 5.48 million of the reported balance sheet value for shares in associated companies.

The Group's **property, plant, and equipment** increased by EUR 3.61 million to EUR 7.07 million in the financial year. The increase is essentially due to the acquisition of Glasfaser Direkt Group by CarMa Holding GmbH. In connection with the transaction, existing telecommunications networks and other related technical systems were acquired.

The Group's **current assets** increased from EUR 34.75 million to EUR 65.73 million in the financial year, with EUR 50.84 million thereof attributable to cash and cash equivalents (previous year: EUR 26.28 million). Thereof, around EUR 26.95 million (previous year: EUR 17.71 million) is attributable to CHAPTERS Group AG and EUR 11.09 million to its three direct, fully owned subsidiaries (previous year: EUR 0.06 million).

The increase in **finished products and goods** from EUR 0.97 million to EUR 2.37 million is essentially due to the hidden reserves in connection with existing contracts identified as part of the purchase price allocation.

Trade accounts receivable amounted to EUR 7.70 million at the end of the year and increased by EUR 3.78 million in the financial year. Thereof, EUR 4.83 million is attributable to the Group's growth through acquisitions. EUR 1.17 million in receivables from the previous year were disposed of as part of the deconsolidation of subsidiaries. Receivables amounting to EUR 0.11 million were incurred within the companies included in the consolidated financial statements for the 2022 and 2023 financial years.

The **accrued items** amounting to EUR 3.53 million (previous year: EUR 4.92 million) are attributable to the disagio of the perpetual bond issued by CHAPTERS Group AG in May 2020, which is released over the first five years. Further information can be found in the presentation of the financial and asset position of CHAPTERS Group AG as the parent company of the group. In addition, prepaid expenses and deferred charges were created for individual operating companies for invoices paid in the 2023 financial year, with some of them economically attributable to the 2024 financial year.

Equity increased by EUR 35.37 million in the 2023 financial year as a result of two capital increases carried out by CHAPTERS Group AG as the parent company. On May 30, 2023, the company's share capital was increased by EUR 432,666.00, and on December 7, 2023, an additional increase of the share capital by EUR 1,649,926.00 was entered into the commercial register. Both capital increases were carried out as private placements. The capital reserve of CHAPTERS Group AG increased by a total of EUR 33.29 million to EUR 125.19 million as a result of the two capital increases. Due to the payment into the capital reserve by minority shareholders at the level of subsidiaries, the capital reserve attributable to the Group also increased by EUR 0.15 million and thus amounted to a total of EUR 125.34 million as of December 31, 2023 (previous year: EUR 91.90 million). The currency difference item from the revaluation of EUR 0.85 million (previous year: EUR 0.00 million) results from the Czech subsidiary that was added to the group in the 2023 financial year. Different exchange rates during the valuation at the time of acquisition and the preparation of the consolidated financial statements result in a difference in the revalued assets from the purchase price allocation, which is offset via this item.

Taking into account the net loss for the year and the shares of non-controlling interests in the equity at the different group levels, Group equity as of December 31, 2023, amounts to a total of EUR 124.08 million (previous year: EUR 92.18 million). The equity ratio is 55.4% (previous year: 54.5%).

Provisions totaled EUR 10.39 million at the end of the financial year (previous year: EUR 3.72 million). Of this amount, EUR 4.12 million is attributable to tax provisions (previous year: EUR 1.80 million). The increase totaling EUR 2.32 million is mainly due to the Group's growth. Around EUR 2.1 million of the tax provisions are attributable to companies that became part of the scope of consolidation in the 2023 financial year. Other provisions increased from EUR 1.92 million to EUR 6.27 million and include EUR 0.87 million in provisions for share-based compensation at the level of CHAPTERS Group AG (previous year: EUR 0.00). The share-based compensation was introduced in the 2023 financial year. Further information on the calculation of provisions can be found in the following notes on the

financial position and net assets of CHAPTERS Group AG. In addition, provisions of EUR 2.49 million (previous year: EUR 0.21 million) were recognized in the 2023 financial year for potential earn-out payments in connection with the acquisition of companies. The remaining increase of EUR 1.20 million in other provisions is mainly due to the expansion of the Group.

Liabilities amounted to EUR 80.30 million at the end of the financial year (previous year: EUR 69.38 million). An amount of EUR 29.07 million has a remaining term of less than one year (previous year: EUR 19.23 million), and an amount of EUR 21.79 million has a remaining term of between two and five years (previous year: EUR 20.84 million). An amount of EUR 29.44 million (previous year: EUR 29.31 million) has a remaining term of more than 5 years.

As in the previous year, of the total amount of liabilities, an amount of EUR 25.00 million is attributable to the **perpetual bond** issued by CHAPTERS Group AG in May 2020. Details about the bond can be found in the presentation of the financial and asset position of CHAPTERS Group AG as the parent company of the group.

Amounts owed to credit institutions increased by EUR 2.01 million to EUR 29.43 in the 2023 financial year. Bank financing amounting to EUR 8.85 million was raised for transactions that had already taken place in previous years to repay the bridge financing provided by CHAPTERS Group AG and seller loans. EUR 7.82 million was raised for transactions that took place in the financial year. Financing totaling EUR 0.89 million was raised at the operational level to finance operating expenditures as well as an acquired commercial property. Repayments on existing bank financing amounted to EUR 5.56 million. Due to the disposal of companies from the scope of consolidation, bank liabilities decreased by EUR 11.01 million – existing bank financing at newly acquired companies was taken over in the amount of EUR 1.02 million.

Trade accounts payable amounting to EUR 3.06 million mainly include liabilities for purchased services at the level of the operating subsidiaries and increased by EUR 1.24 million in the financial year. EUR 1.35 million is attributable to the Group's growth through the acquisition of additional subsidiaries. EUR 0.57 million from the previous year were eliminated within the scope of deconsolidation. Liabilities amounting to EUR 0.46 million were incurred within the companies included in the consolidated financial statements for the 2022 and 2023 financial years. **Advance payments** received in the previous year on orders amounting to EUR 1.10 million by the two companies belonging to the group with a trade focus (Kältehelden GmbH and Wassermann GmbH) were reduced in the financial year through the completion of the relevant projects and amounted to EUR 0.36 million at the end of the financial year.

Other liabilities amount to EUR 22.45 million (previous year: EUR 14.04 million) and include **liabilities to sellers** amounting to EUR 14.92 million (previous year: EUR 9.68 million). Of this, an amount of EUR 10.40 million is attributable to liabilities for the acquisition of a further 15.5% of Fintiba GmbH by CHAPTERS Group AG and were contributed in kind in the course of the capital increase of CHAPTERS Group AG that took place in March 2024. In connection with transactions by the platform companies, EUR 3.40 million in new seller loans were taken out. Seller loans from previous years were repaid in the amount of EUR 7.37 million; an amount of EUR 0.10 thousand was waived. An amount of EUR 1.25 million was disposed of in the course of deconsolidation of subsidiaries. The other changes

result from the interest on the existing loans and a transfer from the provisions for earn-out payments, as the final payment has now been determined.

In addition, other liabilities include EUR 3.26 million (previous year: EUR 1.98 million) in **liabilities owed to minority shareholders**. In the financial year, minority shareholders (balanced with repayments made) paid EUR 0.75 million in new shareholder loans at various levels of the group. The retained interest amounts to EUR 0.19 million. Additions to the scope of consolidation resulted in an increase of EUR 0.34 million.

Deferred income amounting to EUR 4.08 million (previous year: EUR 1.26 million) include payments already received at the level of the operating affiliated companies for contracts with a contract term beyond the reporting date. The increase of EUR 2.27 million is attributable to the addition of companies to the scope of consolidation.

The **deferred tax liabilities** amounting to EUR 5.10 million (previous year: EUR 2.75 million) result from the purchase price allocation made as part of the capital consolidation.

Liquidity position of the Group

The CHAPTERS Group AG group reported a positive **cash flow from operating activities** of EUR 7.37 million (previous year: EUR 5.69 million) in the reporting period.

The **cash flow from investing activities** amounted to a total of EUR -36.34 million (previous year: EUR -53.21 million), of which an amount of EUR 52.00 million (previous year: EUR 23.20 million) was paid for the acquisition/increase in the share in operating portfolio companies. The group received EUR 5.06 million (previous year: EUR 6.11 million) from the disposal of companies from the scope of consolidation. Payments for investments in property, plant and equipment are mainly attributable to companies belonging to CarMa Holding GmbH contributing an amount of EUR 1.78 million. Payments for investments in financial assets contain an amount of EUR 12.16 million for the payment into the capital reserve of an associated company. An amount of EUR 1.21 million was invested for shares in affiliated companies that were not yet included in the scope of consolidation in the 2023 financial year. An amount of EUR 4.28 million results from the purchase of securities at the level of CHAPTERS Group AG. A positive cash flow of EUR 29.67 million was generated from the sale of securities by CHAPTERS Group AG.

The **cash flow from financing activities** amounts to EUR 48.15 million (previous year: EUR 58.78 million), of which EUR 35.37 million (previous year: EUR 57.07 million) resulted from the capital increases of CHAPTERS Group AG and EUR 9.65 million from the re-issue of the perpetual bond. External financing amounting to EUR 17.56 million (previous year: EUR 11.17 million) was raised through subsidiaries in relation to the acquisition of operating portfolio companies. Newly taken out seller loans are not taken into account as they do not affect liquidity. An amount of EUR 12.93 million (previous year: EUR 9.02 million) was used to repay existing debt financing. Of this, EUR 7.37 million (previous year: EUR 4.23 million) relates to the repayment of seller loans from previous years.

The amount of cash and cash equivalents acquired with the acquisition of new operating investments amounts to EUR 6.30 million (previous year: EUR 4.66 million). The change as a result of the disposal of companies that were part of the 2022 consolidation group amounts to a total of

EUR -0.92 million (previous year: EUR -0.73 million). Overall, the **cash and cash equivalents** increased to EUR 50.84 million at the end of the year (31. December 2022: EUR 26.28 million).

Financial and asset position of CHAPTERS Group AG (parent company)

The company's **total assets**, as of December 31, 2023, increased by EUR 38.10 million to EUR 163.28 million compared to the previous year. Taking into account the net profit for the year of EUR 1.66 million and the increase in the share capital and the capital reserve by a total of EUR 35.37 million as a result of the capital increases in May and December 2023, the company's equity as of December 31, 2023, increased to a total of EUR 136.74 million (previous year: EUR 99.71 million).

The increase in **provisions** from EUR 0.33 million to EUR 1.27 million is mainly due to the creation of provisions in the amount of EUR 0.87 million in connection with the stock option plan ("Virtual Share Option Plan", "VSOP") for the company's Management Board. In the 2023 financial year, the company's Management Board was granted 250,000 stock options under the VSOP, which were valued at EUR 3.47 per option, according to Black Scholes. Further information on the VSOP can be found in the notes to the consolidated financial statements under "Remuneration of the executive bodies".

Time of redemption	Redemption value in % of the nominal amount
05/27/2021	70.8%
05/27/2022	77.2%
05/27/2023	84.2%
05/27/2024	91.8%
From 05/27/2025	100.0%

As in the previous year, the perpetual bond issued in May 2020 is reported under **liabilities**. In May 2020, the company issued a perpetual bond with a nominal value of EUR 25.00 million and no maturity. An annual interest payment of 7% of the nominal value will be paid for the first time on May 28, 2026, five years after issue. The issue price was 65% of the nominal value. The bond can be called annually at fixed repayment values (see table). The initial discount of EUR

8.75 million is recognized in the accrued items and released proportionally according to the development of the repayment value via the interest expense. As of December 31, 2023, an amount of EUR 2.82 million remains accounted for as an accrued item.

In May 2023, the company placed the shares in the perpetual bond held by the company and reported in **financial assets** as of December 31, 2022, with their pro rata repayment value of EUR 10.17 million.

The **shares in affiliated companies** increased from EUR 9.47 million to EUR 32.82 million in the 2023 financial year. The company paid a total of EUR 23.35 million into the capital reserve of MEDIQON Beteiligungsgesellschaft mbH. MEDIQON Beteiligungsgesellschaft used the funds to acquire additional shares in Fintiba GmbH and to contribute to the capital reserve of Global Heart Beteiligungsgesellschaft mbH (in which CHAPTERS Group AG indirectly holds a 41.73% share).

The shares held by CHAPTERS Group AG in NPV Nachfolge Beteiligungen GmbH, as well as the shares in MedNation AG (previously Eifelhöhen-Klinik AG) in Bonn (WKN 565 360) are reported under participations as in the previous year. The shares are accounted for at acquisition cost.

In its role as holding company, CHAPTERS Group AG provides the necessary funds for the acquisition of new operating portfolio companies by the platform companies and, to a smaller extent, to finance the development of business operations by means of **shareholder loans or payments into the capital reserves of subsidiaries**. Usually, a part of the acquisition price is financed through debt capital provided by banks. If bridge financing is necessary as part of the transaction process for the period between the acquisition of the company and the provision of debt capital, it is provided through shareholder loans as well. Refinancing usually takes place within a few weeks.

The interest accruing on the shareholder loans can be accumulated or paid at the discretion of the subsidiaries. In principle, the payment of interest by the subsidiaries is intended. In the 2023 financial year, an amount of EUR 2.42 million (previous year: EUR 1.70 million) in interest from the previous and the current financial year was paid.

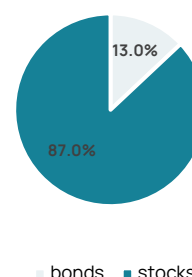
The bridge loans and retained interest are reported in current assets as receivables from affiliated companies and companies, in which a participation is held. As of December 31, 2023, the amount is EUR 18.16 million (previous year: EUR 9.62 million). Of this, an amount of EUR 11.28 million (previous year: EUR 6.38 million) relates to shareholder loans that were issued as part of bridge financing. The amount of accumulated interest (including interest from previous years, unless paid) amounts to EUR 6.87 million (previous year: EUR 3.23 million). Of this, EUR 2.09 million was already repaid after the reporting date.

Such shareholder loans, which are not to be redeemed through short-term refinancing but are to be repaid over the next years from the operating cash flow of the acquired companies, are accounted for in fixed assets as loans to affiliated companies and companies, in which a participation is held due to their longer-term nature. Overall, the amount of long-term shareholder loans increased by EUR 33.80 million to EUR 67.90 million in the financial year and reflects the investment activity of the platform companies in the 2023 financial year.

The **receivables and other assets** mainly comprise corporate tax refunds for 2022.

In addition, CHAPTERS Group AG invests some of the funds in securities as part of **liquidity management**. In the 2023 financial year, the securities portfolio was reduced in order to finance the group's acquisition of further operating associated companies. As of December 31, 2023, the market value of the securities portfolio (excluding the shares in MedNation AG) is EUR 12.66 million (previous year: EUR 34.58 million). The equity investments are valued in accordance with the statutory requirement (Section 253 (3) sentence 5 HGB) at the lower of the acquisition costs and market value as of December 31, 2023, with a depreciation to the market value only being made if the market value is at least 5% below the acquisition costs.

Structure of the securities portfolio as of December 31, 2023 (market value)



The bond investments are valued at the lower of acquisition costs and nominal value. From the company's perspective (as of the reporting date), there is no credit and liquidity risk for the investments. The balance sheet valuation is, therefore, around 10% below the market value on the balance sheet date at EUR 11.44 million. As of the balance sheet date, the portfolio consisted of a total of eight items, including one convertible bond, one corporate bond and six stocks. Based on the market value as of December 31, 2023, the share of the individual items of the entire portfolio is between 1.2% and 30%.

Liquidity position of CHAPTERS Group AG

The funds received by the company from the capital increases in June and December 2023, as well as from the re-issue of its shares in the perpetual bond and the reduction of the securities portfolio, were mainly used to issue new shareholder loans for the acquisition of additional operating associated companies in the platform subsidiaries.

	2023 in EUR k	2022 in EUR k
Bank balances at the beginning of the fiscal year	17,708.5	3,648.2
Cash flow from shareholder loans & investments in subsidiaries	-59,992.7	- 12,984.9
Issued shareholder loans	-54,034.6	- 25,235.8
Repayments from refinancing through bank loans	+ 14,961.8	+ 18,883.0
Interest and similar income received	+ 2,428.4	+ 1,702.0
Investment in the equity of subsidiaries	-23,348.5	- 8,334.2
Cash flow from securities investments & interest	+ 26,100.6	- 28,267.6
Outflow from the purchase of securities (incl. accrued interest)	-4,301.2	- 41,960.1
Outflow from the purchase of shares in MedNation AG	0.0	+ 10.3
Inflow from the sale of securities (incl. accrued interest)	+ 29,976.2	+ 12,989.7
Inflow from interest and dividends on securities (after taxes)	+ 208.1	+ 692.5
Inflow from interest on sight deposits	+ 217.4	0.0
Cash flow from corporate actions and financing activities	+ 44,981.2	+ 56,930.1
Inflow from capital increases (after costs)	+ 35,333.1	+ 56,930.1
Inflow from reissuance of the perpetual bond (after costs)	+ 9,648.1	0.0
Other cash flow from operations	-1,844.5	- 1,617.2
Bank balances at the end of the fiscal year	26,953.0	17,708.5
Securities account at the end of the fiscal year ²²	13,600.9	36,688.8

²² including MedNation AG

Earnings position of the Group

Revenue in the financial year amounted to EUR 70.77 million (previous year: EUR 42.07 million). The following table shows the development of revenue for the companies already included in the scope of consolidation in the 2022 financial year and the companies that were newly added to the Group:

	Total	Software and Internet services	Financial Services	Education	Industry-related services	Holding companies
	In Euro MM	In Euro MM	In Euro MM	In Euro MM	In Euro MM	In Euro MM
2022 Group revenue	42.07	23.62		8.47	9.84	0.14
Minus revenue from companies that were deconsolidated in 2022	-0.74	-0.68				-0.06
Plus revenue prior to inclusion in the consolidated financial statements	13.89	2.63			11.26	
Pro-Forma revenue 2022	55.21	25.57		8.47	21.09	0.08
<i>thereof from companies that were deconsolidated in 2023</i>	<i>15.88</i>				<i>15.88</i>	
Revenue from companies that were already part of the scope of consolidation in 2022 ²³	56.82	25.39		10.20	21.05	0.18
Revenue from companies that became part of the group in 2023 (pro rata)	13.95	9.67		1.64	2.64	
Group revenue 2023	70.77	35.06		11.84	23.69	0.18
Minus revenue from companies that were deconsolidated in 2023	-12.88				-12.88	
Plus revenue prior to inclusion in the consolidated financial statements	29.49	8.33	12.31	0.56	8.28	
Pro-Forma revenue 2023	87.37	43.39	12.31	12.40	19.10	0.18

The **decrease of inventories of finished and unfinished goods and work in progress** of EUR 1.09 million (previous year: increase of EUR 0.12 million) is made up of a reduction of EUR 0.36 million at the level of the companies belonging to the group with a trade focus (Kältehelden GmbH and the companies of the ENTRO group) (previous year: increase of EUR 0.70 million) as well as the reversal of the order backlog identified as part of the purchase price allocation in the amount of EUR 0.74 million (previous year: EUR 0.58 million).

The **other operating income** of EUR 7.56 million (previous year: EUR 7.72 million) results from income of EUR 3.12 million (previous year: EUR 1.77 million) from the disposal and appreciation of securities at the level of CHAPTERS Group AG. An amount of EUR 3.04 million resulted from the

²³ The deviations from the figures in the table "Development of the companies that were part of the groups in 2022 and 2023" in the presentation of the business development are mainly due to the fact that revenues of EUR 15.88 million from companies that were deconsolidated in 2023 are not taken into account in the analysis. The remaining difference results from the use of the two-year average for a company in the group as described there. The effect on revenues from this adjustment amounts to around EUR 0.6 million (reduction in revenues compared to the reported figures) in 2022 and EUR 0.2 million increase in 2023.

disposal of companies from the scope of consolidation, where an amount of EUR 2.04 million is attributable to non-cash income from deconsolidation.

The **cost of materials** amount to EUR 11.87 million (previous year: EUR 7.20 million). Both the material cost ratio of 17% in the entire group and the breakdown between expenses for purchased services and raw materials and supplies, as well as purchased goods, remained stable in the financial year. In the 2023 financial year, companies from the software sector were added to the group (which essentially have expenses for purchased services), as well as companies within the ENTRO Group (a subsidiary of NGC Nachfolgekapital GmbH), which, among other things, provide installation, replacement and repairs in the field of electronic gate and door systems, barriers as well as fire and smoke protection systems, and therefore have a rather high cost of sales inherent in the business model.

Personnel expenses amount to EUR 36.97 million (previous year: EUR 20.16 million). The personnel expense ratio increased slightly and is 52.2% (previous year: 47.9%). The main driver for the increase is the inclusion of a company from the building services sector that only became part of the group at the end of 2022. The company has a high personnel cost ratio inherent to its business model and was included in the scope of consolidation for nine months in the 2023 financial year.

Depreciation and Amortization amounts to EUR 12.47 million (previous year: EUR 7.99 million), of which EUR 2.01 million (previous year: EUR 1.34 million) is due to depreciation on hidden reserves on assets identified as part of the purchase price allocation and EUR 8.95 million (previous year: EUR 5.65 million) relate to amortization of goodwill resulting from capital consolidation. On the one hand, the increase results from the addition of further companies to the group in the 2023 financial year. On the other hand, the depreciation and amortization on the intangible assets acquired in the 2022 financial year and the goodwill are calculated for the entire financial year, whereas in the previous year, the depreciation was only calculated pro rata due to the time of acquisition.

Other operating expenses amount to EUR 17.59 million (previous year: EUR 12.04 million). In addition to the losses from the disposal of fixed assets, which mainly result from disposals from the securities portfolio of CHAPTERS Group AG, expenses from currency translation amounting to EUR 0.61 million (previous year: EUR 0.00 million) are included. The expenses result from the interest on shareholder loans from CHAPTERS Group AG for the acquisition of a subsidiary in the Czech Republic in the 2023 financial year. The interest is accounted for at the subsidiary level in Czech koruna using a different exchange rate than in the group. A detailed breakdown of ordinary operating expenses amounting to EUR 14.52 million (previous year: EUR 11.07 million) is included in the notes to the consolidated financial statements.

For the calculation of the **EBITDA** of EUR 8.15 million at group level (previous year: EUR 5.70 million), in addition to depreciation and amortization, the reduction in the inventory of finished products resulting from the reversal of the order backlog uncovered as part of the purchase price allocation is added to earnings before taxes. Furthermore, income and losses from currency translation and from the disposal of fixed assets and associated costs are not taken into account in the calculation.

		2023	2022
	Earnings before interest and taxes, according to the consolidated income statement	€ -1.68 MM	€ 2.51 MM
+	Increase in inventory from purchase price allocation	€ 0.74 MM	€ 0.58 MM
+	Depreciation and Amortization	€ 12.47 MM	€ 7.99 MM
+/-	Expenses / income from currency translation	€ 0.59 MM	€ 0.00 MM
-	Income from disposal and appreciation of fixed assets	€ -6.39 MM	€ -6.55 MM
+	Losses from the disposal of fixed assets	€ 2.31 MM	€ 0.82 MM
+	Increase in inventory from purchase price allocation	€ 0.10 MM	€ 0.35 MM
=	EBITDA after income from disposals of fixed assets	€ 8.15 MM	€ 5.70 MM

The **financial result** amounts to a total of EUR -3,03 million (previous year: EUR -8,31 million) and comprises the following items:

- ❖ The **result from associated companies** amounts to EUR 1.19 million (previous year EUR -0.35 million). The composition of the results can be found in the notes to the consolidated financial statements.
- ❖ The **income from other securities and loans classified as financial assets** amounts to EUR 0.69 million (previous year EUR 0.66 million) and, in addition to dividends and interest on shares and bond investments in the securities portfolio managed by CHAPTERS Group AG, includes interest on loans in the amount of EUR 0.14 million, of which EUR 0.08 million from companies within the group structure (previous year EUR 0.08 million, of which 0.08 million from companies within the group structure)²⁴.
- ❖ **Other interest and similar income** amount to EUR 0.83 million (previous year EUR 0,95 million). Of this, EUR 0.59 million relates to interest income at the level of CHAPTERS Group AG, which is explained in the presentation of the earnings position of CHAPTERS Group AG. At the level of the subsidiaries, income was primarily realized from previously concluded interest rate hedging transactions.
- ❖ **Interest and similar expenses** amounting to EUR 4.22 million (previous year: EUR 2.63 million) consist of EUR 1.84 million (previous year: 1.69 million) interest expenses at CHAPTERS Group AG level, essentially resulting from the perpetual bond and EUR 2.38 million (previous year: 0.94 million) interest expenses at the level of the subsidiaries. The interest expense at the level of the subsidiaries results from interest on external financing (bank and seller loans) taken out to refinance the purchase prices paid and, to a lesser extent, from interest on loans provided by minority shareholders. The increase results from the additional raising of bank financing as part of ongoing acquisition activities.
- ❖ The **depreciation on financial assets** amounts to EUR 1.53 million (previous year: EUR 6.93 million) and results entirely from depreciation on securities in the securities portfolio managed by CHAPTERS Group AG. Further information on the securities portfolio can be found in the

²⁴Other than in the 2022 consolidated financial statements, the interest on bond investments and on loans to companies within the group structure was corrected in income from securities and loans of financial assets instead of previously in interest and similar income.

presentation of the financial and asset position as well as the earnings position of CHAPTERS Group AG.

Taxes on income and earnings amount to a total of EUR 1.65 million (previous year EUR 0.81 MM), EUR 0.60 million (previous year EUR 0.56 MM) from the reversal of deferred tax assets and liabilities (which mainly result from purchase price allocation offset against taxes incurred at the individual company level of EUR 2.26 million (previous year EUR 1.37 million)).

The **net loss** in the group amounts to a total of EUR 6.39 million (previous year: EUR 6.60 million). Of this, an amount of EUR 2.31 million (previous year EUR 0.72 million) is attributable to non-controlling interests at the various levels of the group, and an amount of EUR 4.08 million (previous year EUR 5.89 million) is attributable to the parent company. For the consolidation-related effects on the consolidated result, please refer to the reconciliation from the consolidated loss to the adjusted earnings per share in the presentation of business development.

Earnings position of CHAPTERS Group AG (parent company)

CHAPTERS Group AG operated as a holding company in the 2023 financial year, as in previous years. No **revenue** was generated (previous year EUR 0.03 million from passing on costs for the assessment of smaller projects).

The **interest income** from the shareholder loans granted (including the loans to companies in which CHAPTERS Group AG holds a minority stake) and similar income from affiliated companies amounts to a total of EUR 5.94 million (previous year: EUR 3.41 million). Of this, an amount of EUR 0.09 million (previous year EUR 0.08 million) is included in income from loans of financial assets²⁵. The significant increase in interest income reflects the investment activity in the 2023 financial year and the resulting increase in shareholder loans provided by CHAPTERS Group AG for the acquisition.

For the 2023 financial year, the **interest expense** amounted to a total of EUR 1.84 million (previous year: EUR 1.69 million) and was mainly incurred for the perpetual bond. The company held 50% of the bond until it was re-issued in May 2023. The interest income due until the time of re-issue amounts to EUR 0.36 million (previous year: EUR 0.84 million). Both positions do not affect liquidity.

The **income from securities** of the CHAPTERS Group AG amounts to EUR 0.91 million in the 2023 financial year (previous year: EUR -5.34 million) and consists of EUR 0.58 million in realized income (previous year: EUR 1.35 million), which together with the reversal of write-downs on securities made in the previous year amounting to EUR 2.54 million (previous year: EUR 0.42 million) are included in **other operating income**. The **losses from the disposal of fixed assets** amounting to EUR -2.12 million (previous year: EUR 0.76 million) include realized losses against acquisition costs amounting to EUR 4.28 million, which are partially offset by the reversal of depreciation from previous years amounting to EUR 3.05 million. This position also includes the book loss from the re-issuance of the perpetual bond in the amount of EUR 0.89 million. At the time of the re-issue, the bond was recorded at its pro rata redemption value of around 84.3%; the issue price was 77.2%. In addition to **dividend income** of EUR 0.18 million (previous year: EUR 0.41 million), **income from securities and loans from financial assets** includes interest income on bond investments of EUR

²⁵ Reported under other interest and similar income in the previous year.

0.37 million (previous year: EUR 0.16 million)²⁶. **Depreciation on financial assets** amounted to EUR 1.53 million as of December 31, 2023 (previous year: EUR 6.93 million). As in the previous year, the depreciation in the 2023 financial year results entirely from depreciation on securities. The equity investments are valued in accordance with the lower of cost or market principle under commercial law (Section 253 (3) Sentence 5 HGB) at the lower of the acquisition costs and market value as of December 31, 2023, whereby a write-down on the market value is only made if the market value is at least 5% below acquisition costs. The bond investments are valued at the lower of acquisition costs and nominal value.

The costs of CHAPTERS Group AG as an individual company mainly consist of personnel, legal and consulting expenses, as well as costs incurred due to the company's legal form.

Personnel expenses amounted to EUR 1.38 million in the 2023 financial year (previous year: EUR 0.50 million). Of this, EUR 0.87 million relates to provisions created in connection with the stock option plan ("Virtual Share Option Plan", "VSOP") for the company's Management Board established by the company's Supervisory Board in the 2023 financial year. In the 2023 financial year, the company's Management Board was granted 250,000 stock options under the VSOP, which were valued at EUR 3.47 per option, according to Black Scholes. Further information on the VSOP can be found in the notes to the consolidated financial statements under "Remuneration of the executive bodies".

The **legal and consulting costs** for the 2023 financial year amount to EUR 0.59 million (previous year: EUR 1.13 million). In its role as a holding company, CHAPTERS Group AG incurs legal and consulting costs in the context of ongoing business activities (e.g. in for the preparation of the consolidated and individual financial statements as well as counsel regarding capital market law) on the one hand and for the ongoing assessment of growth opportunities for the group on the other. In the 2023 financial year, around 70% of the legal and consulting costs are attributable to the review of growth opportunities. The previous year's amount includes payments of EUR 0.62 million to the platform companies for support within the scope of the capital increases.

The **costs** of EUR 0.38 million (previous year: EUR 0.29 million) **incurred due to the company's legal form** essentially include the costs for the audit of the company's (consolidated) financial statements as well as the additional costs of share processing and corporate actions.

The **earnings before tax** of the CHAPTERS Group – before taking into account the securities result, the book loss from the re-issue of the perpetual bond and the share-based compensation – is EUR 2.71 million and, therefore, slightly above the expected amount of EUR 2.50 million

The **taxes on income and earnings** – taking into account the remaining tax loss carry-forwards – amount to EUR 0.21 million (previous year: EUR 0.00 million). There are no other loss carry-forwards.

Overall, the company reported an **annual profit** of EUR 1.66 million as of December 31, 2023 (previous year annual loss of EUR 5.12 million). The **loss carried forward** is therefore reduced to EUR 6.60 million (previous year: EUR 8.26 million).

²⁶Other than in the 2022 notes to the consolidated financial statements, the interest on bond investments was corrected in income from securities and loans of financial assets instead of previously in interest and similar income.

C. Risk and Opportunity Report

CHAPTERS Group AG pursues the goal of sustainably increasing the Group's value in the long term. To this end, the existing portfolio of operating companies is to be further expanded in the coming years and the value of the existing portfolio companies is to be continuously increased.

In principle CHAPTERS Group AG as a Group, benefits from the diversified composition of the operating portfolio companies so that positive developments in other companies can mitigate the effects of individual operating companies potentially failing to meet development goals. With the exception of Fintiba GmbH, which made a contribution of around 20% to the group's pro forma EBITDA (adjusted) in the 2023 financial year, none of the operating portfolio companies individually accounts for more than around 8% of the EBITDA (adjusted)²⁷ in 2023– with ongoing investment activity, the share of individual companies is becoming increasingly smaller. The chosen transaction structures, in which separate acquisition companies are usually established for the acquisition of new operating companies, ensure that potentially negative events at individual operating companies do not directly and immediately impact the other group companies.

The main **risks** for CHAPTERS as a Group are listed below – in descending order of relevance (according to the company's assessment) for the future development of the Group.

The company sees significant **opportunities** for long-term and sustainable increase of the Group's value in the further growth of the Group through the investment in additional operating companies. The presentation of the opportunities for further growth sets out the strategic initiatives through which the company promotes sustainable access to attractive investment opportunities.

Risks associated with the acquisition of new operating companies

Within the scope of the acquisition of new operating companies, the platform companies carry out an extensive market analysis as well as tax, legal, and financial due diligence. However, it cannot be ruled out that not all risks are known or identified at the time of acquisition. To limit the resulting risks, new investment companies are usually acquired through legally independent acquisition vehicles, and no profit transfer agreements are concluded between the individual acquisition vehicles and the platform companies (or CHAPTERS Group AG as the ultimate parent company). In addition, the purchase contracts contain extensive guarantees from the seller regarding the completeness and accuracy of the information received.

Risks from personnel dependencies

Both at the level of CHAPTERS Group AG as the ultimate parent company and at the level of the platform companies, the fundamental operational and organizational decisions are made at the level of the Management Board or the respective managing directors of the platform companies. In this respect, there is a dependency on individuals, especially when it comes to the further growth of the Group.

²⁷ Pro forma assessment based on the group structure as of December 31, 2023, and the results for the entire 2023 financial year of the individual operating associated companies.

Risks from the development of operating portfolio companies

The development of the operating portfolio companies depends on the general economic situation and economic trends. A large number of portfolio companies are software companies that offer specialized industry solutions and are, therefore, ultimately dependent on the development of their respective customers' industries. The majority of customers are based in the country in which the respective operating company is based. The end customers of the software companies come from a wide variety of industries that tend to be less affected by economic fluctuations (e.g. customers from the education sector and the public sector) or more strongly (e.g. from the construction industry or the wood or sheet metal processing industry). However, the companies are characterized by a broad customer base with a high proportion of recurring revenues, which makes them resilient to short-term deteriorations in economic conditions. Accordingly, the operating companies have developed largely positively in recent years (both in 2020/2021 despite the pandemic-related restrictions and in 2022/2023 despite the burdens caused by the Russian attack on Ukraine and the associated uncertainties).

Fintiba GmbH offers blocked accounts and other products and services for visa applicants, and speakeasy group offers German courses for expats and international students. These companies are negatively affected if the number of foreign students and young professionals in Germany decreases.

For the CarMa group, as a service provider for operators and owners of telecommunications networks, the speed of expansion by municipal utilities and municipalities is particularly relevant. In the 2023 financial year, the challenges around energy supply and increased financing costs, in particular, impacted the speed of expansion by the CarMa group's end customers.

Across the Group, risks result in particular from the worsening shortage of skilled workers, which could also impact the growth of the companies belonging to the Group.

Risks from interest rate changes related to debt financing

The purchase prices paid within the scope of the group's ongoing growth are partly financed with debt capital. Bank financing is subject to an inherent interest rate risk. Currently around 30% of the existing financing benefits from interest rate hedging transactions. Within the Group, the effects of increased financing costs are mitigated by the results of Fintiba GmbH, which inherently to their business model, benefits from rising interest rates.

Risks from the securities portfolio managed by CHAPTERS Group AG

Available liquidity at CHAPTERS Group AG level is invested in fungible securities that are subject to price and currency fluctuation risks. Sustained price declines can result in the company having to sell individual securities below acquisition cost. In the 2023 financial year, the securities portfolio was significantly reduced and based on the book value, currently accounts for around 7.0% (previous year around 30%) of the balance sheet total of CHAPTERS Group AG as an individual company as of December 31, 2023.

From the company's perspective, the risk from access to attractive investment opportunities reported in previous years is not a significant factor with regard to the future due to the historical growth and the resulting size of the Group.

Opportunities for the further growth of the Group

In the five years since the first company became part of the Group, the platform companies and, thus the Group have grown significantly. The company sees three key opportunities for further growth, which are listed below in ascending order of relevance (according to the company's assessment) for the development of the group.

The platform companies belonging to the group have established themselves as relevant market participants in their specific niches (software, succession solutions, and telecommunications) and are well-positioned to continue to achieve significant growth in the future by investing in further operating companies.

The company sees particular opportunities for further growth in bundling activities in certain sub-segments, such as education or construction and real estate software below the existing platforms. That way, access to smaller transactions can continue to be facilitated through direct contacts in the relevant market and such transactions can be implemented and managed efficiently within the existing structure.

From the company's perspective, further significant opportunities arise from expanding the geographical focus, particularly in the field of vertical market software. An initial investment in a company in the Czech Republic by Ookam Software GmbH has already been made in the 2023 financial year. In addition, mlog capital SAS, an investment platform for vertical market software companies in France and Benelux, was founded in the 2023 financial year and has already invested in three companies in 2024. In addition, a platform company in Switzerland was founded in the 2024 financial year.

In addition, the company sees opportunities to invest in existing industry software platforms or companies that can develop into a platform. In the current financial year 2024, CHAPTERS Group AG became the largest shareholder in Software Circle plc. Software Circle plc invests in industry software companies in Great Britain and Ireland.

The Group is not bound to rigid specifications regarding transaction structures and can, for example, allow sellers to participate in different structures and thus implement the best structure for everyone involved, which can mean a decisive competitive advantage in the transaction. Through ongoing adjustments, opportunities can be embraced flexibly.

To facilitate the financing of further growth, CHAPTERS Group AG signed so-called backstop agreements with a group of renowned family offices in April 2024. The investors signed binding agreements to purchase shares issued in a potential capital increase at a price of EUR 24.70 up to a total volume of EUR 52 million. CHAPTERS Group AG intends to carry out a capital increase with subscription rights from authorized capital in 2024. The expected total volume of the capital increase amounts to EUR 60 million to EUR 80 million and will be determined based on the resulting investment opportunities.

Overall assessment of the risk and opportunity situation

In the 2023 financial year, the Group's growth was successfully continued through numerous transactions through the existing platform companies and also through the establishment of new platforms. To be able to maintain the historical growth rate in the future, the company's focus is on the continuous development of the structures and processes within the group. We are convinced that CHAPTERS Group AG, as the ultimate parent company and the Group as a whole, are well positioned to flexibly take advantage of opportunities in the future and thus drive long-term and sustainable growth. Based on the information currently available, no risks can be identified that individually or in combination, could endanger the continued existence of individual group companies, the entire group, or CHAPTERS Group AG.

Significant aspects of the internal control and risk management system with regard to the accounting process

The consolidated financial statements are prepared in accordance with the provisions of the German Commercial Code (HGB) and German Stock Corporation Act (AktG). The basis for the consolidated financial statements is the individual financial statements prepared by the companies included in the scope of consolidation. Responsibility for the accounting process and compliance with the relevant accounting regulations lies with the respective subsidiaries. The platform companies belonging to the Group work with a small number of selected accounting firms, which are responsible for preparing the financial statements for the subsidiaries held by the respective platform company and, in many cases, also cover bookkeeping. After the acquisition of a new operating company, accounting is usually taken over by the partner firms within a few months.

The individual financial statement data supplied by the group companies are brought together by CHAPTERS Group AG using consolidation software, in which the necessary consolidation work is carried out. In addition to capital consolidation, debt consolidation is particularly relevant with regard to the shareholder loans provided by CHAPTERS Group AG for acquisitions. The purchase price allocation is also carried out at the level of CHAPTERS Group AG (with the support of Baker Tilly GmbH & Co. KG Wirtschaftsprüfungsgesellschaft).

D. Outlook report

Due to the continued strong focus on the group's inorganic growth through the development of additional platform companies and investments in new operating companies, it is not possible to make a valid forecast for the development of CHAPTERS Group AG as a Group for the current 2024 financial year. The Group develops dynamically and is seizing opportunities where it considers them to be sensible– and where it is in a position to finance them.

In the 2024 financial year, the group has grown by an additional four companies, all from the software sector. This brings the total number of operating companies belonging to the Group to 45, which generated revenues of around EUR 100 million and an operating EBITDA (adjusted) of around

EUR 27.5 million in the 2023 financial year. For 2024, we assume that Group companies' revenue and EBITDA (adjusted) will develop slightly positively overall compared to the previous year.

The five existing platforms of CHAPTERS Group AG are continually assessing the investment in additional operating companies within their respective markets and corresponding strategies. No forecast can be made regarding the volume and timing of further investments.

CHAPTERS Group AG also continually assesses the establishment of or participation in existing platforms that are active in other regions or specific market segments, particularly in the field of vertical market software.

In the 2024 financial year, CHAPTERS Group AG has become the largest shareholder in Software Circle plc with 29.9%. Software Circle plc is building a long-term home for vertical industry software companies in the UK and Northern Ireland. The company currently has interests in six operating companies and intends to continue to grow inorganically. In addition, CHAPTERS Software Switzerland GmbH, a company with a focus on Switzerland, was founded.

Development of the Base Value

For the companies belonging to the Group at the time the consolidated financial statements were prepared, the company assumes that overall, revenue and EBITDA will develop slightly positively compared to the previous year. In addition, there will be further repayments of the debt financing taken out, which means an additional positive effect on the Base Value.

Based on the forecasts of the operating investment companies and CHAPTERS Group AG for the 2024 financial year and the current market value of the securities portfolio managed by CHAPTERS Group AG, the company assumes that the Base Value at the end of 2024 will be between 9.10 and 10.10 euros per share (2023: 8.06 euros per share). Changes in the scope of consolidation and corporate actions at the level of CHAPTERS Group AG can have a significant impact on the development of this key figure.

CHAPTERS Group AG as parent company

The main earnings factor for CHAPTERS Group AG is, above all, the interest income from the shareholder loans to finance the acquisition of the operating associated companies. Interest income increased significantly in the 2023 financial year compared to the previous year - as a result of the platform companies' ongoing investment activities.

The company expects a further increase in interest income for the 2024 financial year. Based on the currently outstanding shareholder loans, we assume interest income of EUR 7.5 to EUR 8.5 million.

Developments in the 2024 financial year are highly dependent on the ongoing investment activities of CHAPTERS Group AG and its platform companies. It is not possible to predict the volume and time at which further transactions will take place. With regard to the operating costs of CHAPTERS Group AG, the company assumes an increase to around EUR 2.75 million due, among other things, to the ongoing growth of the group and the expansion of the team at CHAPTERS Group AG level. The share-based compensation is not taken into account.

The annual result of CHAPTERS Group AG is also influenced by the results from the securities portfolio and the creation of provisions for share-based compensation.

Distributions

Distributions by CHAPTERS Group AG are not planned for the 2023 financial year or the coming years. The income generated in the operating associated companies is initially used to repay borrowed funds. Returns to CHAPTERS Group AG through the repayment of shareholder loans or distributions from the operating associated companies to the respective platform company and ultimately from there to CHAPTERS Group AG are not expected to be of any large extent in the coming years.

We are convinced that the group's growth strategy will continue to create a continuous demand for capital, although it will reduce over time as a result of the high level of liquidity conversion, particularly among the software companies belonging to the group. We are certain that investing freed-up funds within the group for further organic and acquisition-based growth makes sense and creates value.

Hamburg, May 22, 2024


.....
Jan-Hendrik Mohr (Chairman)


.....
Marlene Carl



Consolidated Financial Statements for the Financial Year 2023

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CHAPTERS Group AG – GROUP ACCOUNTS 2023 CONSOLIDATED BALANCE SHEET as at December 31, 2023

	12/31/2023 Euro '000	12/31/2022 Euro '000
A. Fixed assets	154,448.72	129,611.99
I. Intangible assets	117,087.11	69,046.42
1. Purchased concession, industrial rights and similar rights and assets <i>thereof from purchase price allocation</i>	17,210.68	9,521.68
2. Goodwill	15,590.82	8,707.47
3. Advance payments on intangible assets	99,861.23	59,512.03
	15.19	12.71
II. Property, plant and equipment	7,074.61	3,468.15
1. Land / Buildings	1,205.94	1,389.82
<i>thereof from purchase price allocation</i>	121.51	292.06
2. Technical equipment and machinery	813.33	495.41
3. Other fixtures and fittings, operating and office equipment	4,397.69	1,567.00
4. Payments on account and assets under construction	657.65	15.92
III. Financial assets	30,287.01	57,097.41
1. Shares in associated companies	15,586.76	9,028.05
2. Shares in affiliated companies (not consolidated)	1,217.63	0.00
3. Loans to companies in which a participation is held	1,375.45	1,158.53
4. Other participations in companies	25.00	12.5
5. Securities held as fixed assets	11,793.07	36,725.73
6. Shares of perpetual bond in own portfolio	0.00	10,172.60
7. Other loans classified as financial assets	289.1	0.00
B. Current Assets	65,726.80	34,749.72
I. Inventories	3,964.69	2,395.25
1. Raw materials and supplies	622.87	518.28
2. Work in progress, unfinished services	971.9	888.12
3. Finished products and goods	2,368.13	974.29
<i>thereof from purchase price allocation</i>	1,897.14	778.21
4. Advance payments made	1.78	14.56
II. Receivables and other assets	10,918.91	6,075.98
1. Trade accounts receivable	7,697.56	3,918.75
2. Receivables from companies in which a participation is held	241.91	156.48
3. Other assets	2,979.45	2,000.75
III. Cash on hand, bank balances	50,843.20	26,278.50
C. Accrued items	3,533.03	4,922.65
D. Deferred tax assets	237.75	0.00
Total Assets	223,946.31	169,284.36
A. Equity	124,079.38	92,178.98
I. Subscribed capital	18,149.19	16,066.60
II. Capital reserves	125,344.75	91,902.66
III. Exchange rate differences from revaluation	853.76	0.00
IV. Loss carried forward	-14,207.01	-8,321.98
V. Net loss for the year	-4,084.09	-5,885.03
VI. Non-controlling interests	-1,977.22	-1,583.28
B. Provisions	10,385.66	3,716.55
1. Tax provisions	4,119.43	1,795.04
2. Other provisions	6,266.23	1,921.51
<i>thereof for share-based compensation</i>	867.50	0.00
<i>thereof for potential additional purchase price payments (earn-outs)</i>	2,485.00	207.43
C. Liabilities	80,301.36	69,380.12
1. Bond	25,000.00	25,000.00
2. Amounts owed to credit institutions	29,426.02	27,411.06
3. Advance payments received on orders	364.51	1,104.70
4. Trade accounts payable	3,064.81	1,827.41
5. Other liabilities	22,446.02	14,036.95
<i>thereof from seller loans</i>	14,922.70	9,679.83
<i>thereof owed to minority shareholders</i>	3,259.50	1,981.83
D. Deferred income	4,077.31	1,261.61
E. Deferred tax liabilities	5,102.61	2,747.11
Total equity and liabilities	223,946.31	169,284.36

	Financial year Euro '000	Previous year Euro '000
1. Revenue	70,766.28	42,067.30
2. Increase or decrease of inventories of finished and unfinished goods and work in progress	-1,094.88	118.29
<i>thereof from purchase price allocation</i>	-738.99	-581.32
<i>thereof other changes</i>	-355.88	699.62
Total Output	69,671.40	42,185.60
3. Other operating income	7,558.93	7,715.53
<i>thereof income from the disposal of and from appreciation of fixed assets</i>	6,386.43	6,554.25
4. Cost of Materials	-11,869.69	-7,197.32
a) Expenses for raw materials, supplies and purchased goods	-4,760.31	-2,526.89
b) Expenses for purchased services	-7,109.39	-4,670.43
5. Personnel expenses	-36,970.26	-20,162.68
a) Wages and salaries	-30,574.89	-16,646.73
<i>thereof for share-based compensation</i>	-867.5	0
b) Social security contributions and expenses for pensions and other benefits	-6,395.37	-3,515.95
<i>thereof for pensions</i>	-139.99	-181.97
6. Depreciation and Amortization	-12,474.52	-7,989.58
a) On intangible assets and property, plant and equipment	-12,448.94	-7,989.31
<i>thereof on assets from purchase price allocation</i>	-2,009.57	-1,338.48
<i>thereof on goodwill</i>	-8,954.06	-5,649.04
b) On current assets	-25.57	-0.27
<i>(as far as these exceed the amount that is customary for the company)</i>		
7. Other operating expenses	-17,594.17	-12,041.44
<i>thereof losses from the disposal of fixed assets</i>	-2,306.08	-822.36
Earnings before interest and taxes	-1,678.30	2,510.11
8. Result from associated companies	1,194.66	-352.75
9. Income from other securities and from loans classified as financial assets*	694.84	655.19
<i>thereof from companies in which a participation is held</i>	93.83	77.38
10. Other interest and similar income*	828.54	947.88
<i>thereof from own shares in the perpetual bond</i>	362.78	844.79
<i>thereof from companies in which participations is held</i>	10.95	15.25
11. Depreciation on financial assets	-1,529.15	-6,932.46
<i>thereof impairment losses</i>	-1,529.15	-6,932.46
12. Interest and similar expenses	-4,223.52	-2,629.06
<i>thereof for perpetual bond</i>	-1,836.49	-1,689.59
13. Taxes on income and earnings	-1,651.51	-810.01
<i>thereof from the reversal of deferred tax assets and liabilities</i>	604.83	558.83
Earnings after taxes	-6,364.44	-6,611.10
14. Other taxes	-26.28	6.76
Net loss for the year	-6,390.72	-6,604.34
Attributable to non-controlling interests	-2,306.62	-719.31
Consolidated net loss for the year	-4,084.09	-5,885.03

* Deviations from the figures published in the previous year result from a correction of the allocation between income from other securities and from loans of financial assets and interest income and are commented on in the notes to the consolidated statement of profit or loss.

	Attributable to the shareholders of the parent company					Non-controlling interests					Consolidated Equity Euro '000
	Share capital Euro '000	Capital reserve Euro '000	Exchange rate difference from revaluation Euro '000	Loss carried forward / consolidated net loss Euro '000	Total Euro '000	Non-controlling interests before revaluation reserve, equity difference from currency translation and annual result Euro '000	Revaluation reserve Euro '000	Exchange rate difference from revaluation Euro '000	Profit and loss attributable to non-controlling interests Euro '000		
As at January 01, 2023	16,066.60	91,902.66		-14,207.01	93,762.25	594.96	56.68		-2,234.92	-1,583.28	92,178.98
Capital increase 05/2023	432.67	5,884.26			6,316.92						6,316.92
Capital increase 12/2023	1,649.93	27,405.27			29,055.20						29,055.20
Profit distributions											
Changes in the scope of consolidation			828.87		828.87	122.58	1,528.63	207.22	370.5	-657.25	3,057.79
Change in value from currency translation			24.89		24.89			6.22		6.22	31.12
Other changes		152.56			152.56	357.68	-19.13		-3.77	334.78	487.35
Group result				-4,084.09	-4,084.09				-2,306.62	-2,306.62	-6,390.72
Ending balance December 31, 2023	18,149.19	125,344.75	853.76	-18,291.10	126,056.60	1,075.22	1,566.18	213.44	-4,832.06	-1,977.22	124,079.38

The amount attributable to the non-controlling interests before revaluation reserve, equity difference from currency translation and annual results corresponds to the proportionate interest of the respective minority shareholder in the share capital and the capital reserves of the subsidiaries concerned. The shares in the capital reserves mainly result from payments by minority shareholders into the capital reserves of the acquisition companies as part of the transaction structures. In the 2023 financial year, minority shareholders paid a total amount of EUR 327.69 thousand into the capital reserves of subsidiaries in relation to capital increases. These amounts are partially also attributable to the Group (pro rata). The minority interests in the revaluation reserve result from the capital consolidation. Insofar as minority shareholders have a direct interest in the acquired company, their share in the revaluation reserve resulting from the purchase price allocation is shown here. The amount of revaluation reserve attributable to the Group is eliminated as part of the capital consolidation. The currency difference from revaluation results from the Czech subsidiary newly added to the Group in the 2023 financial year. Due to different exchange rates at the time of acquisition and the preparation of the financial statements, there is a difference in the revaluation reserve from purchase price allocation, which is offset via this item. In addition to the above-mentioned contribution to the capital reserve, the other changes include disproportionate contributions by CHAPTERS Group AG to the capital reserve of subsidiaries, some of which are attributable to minority shareholders, as well as minor changes to shares in the context of mergers of subsidiaries. The profit distributions mainly result from distributions in connection with the management buy-out of the ARUDI-Group in the 2023 financial year. The share of these payments attributable to minority shareholders is reported under non-controlling interests in equity.

	Financial year EUR '000	Previous year EUR '000
Net income (including minority interests)	-6,390.72	-6,604.34
Release of order backlog /inventory from the purchase price allocation	738.99	581.32
Depreciation/Appreciation on property, plant, and equipment <i>thereof to assets disclosed as part of the purchase price allocation</i>	1,045.34 -0.17	526.9 Sep 58
Depreciation/ Appreciation on financial assets	-1,014.25	6,932.46
Depreciation/ Appreciation on intangible assets <i>thereof on assets identified as part of the purchase price allocation</i> <i>thereof on goodwill</i>	11,403.60 2,009.40 8,954.06	7,462.40 1,328.90 5,649.04
Increase/decrease in provisions	1,184.36	264.47
Other non-cash expenses/income	-1,237.86	319.52
Increase/decrease in inventories, accounts receivable and other assets (unless investing/financing activity)	-2,445.33	-1,075.46
Increase/decrease in accounts payable and other liabilities (unless investing/financing activity)	2,384.31	1,954.78
Profit/loss from disposal of fixed assets	-1,536.94	-5,731.89
Interest expenses/Interest income	3,394.98	1,681.18
Income from securities and loans classified as financial assets	-694.84	-655.19
Income tax expense/income	2,256.33	1,368.85
Income tax payments	-1,002.54	-773.33
Reversal of deferred taxes from purchase price allocation	-718.61	-558.83
Cash flow from operating activities	7,366.85	5,692.83
Proceeds from disposals of intangible assets	0	Jan 96
Payments for investments in intangible assets	-1,090.21	-286.45
Proceeds from disposals of property, plant and equipment	259.77	23.32
Payments for investments in property, plant and equipment	-2,465.23	-1,733.56
Proceeds from disposals of financial assets	29,674.59	12,999.97
Payments for investments in financial assets	-18,111.84	-48,138.08
Payments for additions to the scope of consolidation	-52,004.04	-23,204.49
Proceeds from disposals from the scope of consolidation	5,061.11	6,115.69
Interest and dividend payments received	2,336.76	1,010.12
Cash flow from investing activities	-36,339.10	-53,211.52
Proceeds from corporate actions of CHAPTERS Group AG	35,372.12	57,073.50
Proceeds from equity contributions from other shareholders	340.12	87.5
Change in liabilities to shareholders	514.89	315.91
Payments to company owners and minority shareholders	-658.23	-91.11
Proceeds from the issue of bonds and taking out (financial) loans	27,209.40	11,166.12
Payments from the repayment of bonds and (financial) loans	-12,934.67	-9,020.22
Interest paid	-1,690.79	-755.28
Cash flow from financing activities	48,152.84	58,776.42
Changes in cash and cash-equivalents	19,180.58	11,257.73
Cash and cash equivalents at the beginning of the period	26,278.50	11,093.69
Changes in cash and cash equivalents due to changes in the scope of consolidation	5,384.12	3,927.07
Cash and cash equivalents at the end of the period	50,843.20	26,278.50

Cash and cash equivalents correspond to the balance sheet item "Cash in hand and bank balances". Of this, an amount of EUR 120.00 thousand (previous year: EUR 120.00 thousand) has been deposited as collateral for a bank guarantee issued by CHAPTERS Group AG and is subject to corresponding restrictions on disposal. An amount of EUR 1,797.58 thousand is held by subsidiaries for which the approval of minority shareholders is required to dispose of the funds. Other non-cash income (previous year: expenses) mainly includes the result from associated companies. Other non-cash income (previous year: expenses) mainly includes the result from associated companies. EUR 1,316.70 thousand (previous year: EUR 0.00 thousand) was received from associated companies in the 2023 financial year. Of this amount, a value of EUR 798.00 thousand is included in the result from associated companies; an amount of EUR 518.70 thousand is attributable to distributions from retained profits from previous years and is offset against the acquisition costs with no effect on income. The distributions received are included in the cash flow from investing activities under interest and dividend payments received. Further information of the development of the Group's liquidity situation can be found in the management report.

A. General disclosures

CHAPTERS Group AG (formerly MEDIQON Group AG) is based in Hamburg (formerly Königstein im Taunus) and is registered in the commercial register at the Hamburg District Court under register number HRB 182147 (formerly the Königstein im Taunus District Court under register number HRB 4906). The company's shares have been traded on the open market of the Frankfurt Stock Exchange since June 3, 2005 (WKN 661 830). The open market is not an organized market within the meaning of Section 2 (11) WpHG.

CHAPTERS Group AG invests – usually indirectly through subsidiaries – in companies currently exclusively based in Europe. As of the reporting date, the company directly or indirectly held majority shares in 78 companies (previous year: 53), 42¹ of which are operating companies (previous year: 28). As of the balance sheet date, the company has five minority interests in which it holds more than 20%, one of which is in a listed AG. The companies in which CHAPTERS Group AG has a majority stake are if based in Germany, small corporations in accordance with Section 267 (1) of the German Commercial Code (HGB).

As the parent corporation, CHAPTERS Group AG prepares the consolidated financial statements and management reports for the 2023 financial year. The size criteria according to Section 293 (1) HGB were exceeded for the first time in the 2021 financial year. Total assets of the Group as of 12/31/2023 amount to EUR 223.95 million (previous year: EUR 169.28 million), revenue amounts to EUR 70.77 million (previous year: EUR 42.07 million), the average number of employees in the 2023 financial year is 952 (previous year 396). Of these, 241 employees are attributable to companies in which Ookam Software GmbH holds the majority of the shares, 688 employees are attributable to companies in which NGC Nachfolgekapital GmbH holds the majority of the shares, and 20 employees are with companies in which CarMa Holding GmbH holds the majority of the shares. 469 employees are attributable to companies that are no longer part of the group at the end of the year. The number of employees at CHAPTERS Group AG, as the parent company, is three (previous year: two). For companies that became part of the scope of consolidation in the 2023 financial year, the employees are only taken into account pro rata for the period in which the company was part of the Group. Managing Directors or, in the case of CHAPTERS Group AG, members of the Management Board are not included.

The consolidated financial statements for the 2023 financial year are prepared in accordance with the provisions of the German Commercial Code (HGB) and the German Stock Corporation Act (AktG) and include the consolidated balance sheet, the consolidated income statement, the consolidated cashflow statement, the consolidated statement of changes in equity and the notes to the consolidated financial statements (including the consolidated fixed asset schedule and schedule of liabilities). Differences may arise from the use of rounded amounts and percentages due to rounding. The financial year of CHAPTERS Group AG and most of its subsidiaries begins on January 1st of the calendar year and ends on December 31st. Two companies that became part of the Group in the current financial year report a different financial year. The change is planned for the 2024 financial year; financial statements for the 2023 financial year were prepared as at December 31, 2023. The consolidated income statement – like the income statements of the companies included – is prepared using the total cost method.

¹ The deviations from the combined management report value result from combining several legal companies into one operating unit, and vice versa.

The group management report of the CHAPTERS Group AG group has been combined with the management report of CHAPTERS Group AG in accordance with Section 315 (5) HGB in conjunction with Section 298 (2) HGB.

B. Scope of consolidation and consolidation methods

Scope of consolidation

In accordance with Section 294 (1) of the German Commercial Code (HGB), all companies in which CHAPTERS Group AG holds a direct or indirect share of more than 50% of the capital as of the reporting date (12/31/2023) are included in the consolidated financial statements. Companies in which the indirect share of CHAPTERS Group AG is less than 50%, but at each level of the investment chain, more than 50% of the capital is held by a group company are also included. Companies in which CHAPTERS Group AG holds less than 50% of the capital but has more than 50% of the voting rights do not exist as of 12/31/2023.

As of 12/31/2023, the scope of consolidation includes, in addition to the parent company, 72 companies (previous year 53 companies) that are fully consolidated. Two companies are not included in the consolidated financial statements with reference to Section 296 (1) No. 2 HGB, and four companies are not included in the consolidated financial statements with reference to Section 296 (2) HGB.

64 companies are based in Germany, three companies in Austria (one acquisition company and two operating investment companies), and one company in the Czech Republic (operating company). The Czech company also holds 100% of the shares in a company based in the Slovak Republic. Three companies (one platform company and two acquisition companies) are based in France.

Five companies (previous year: six companies) in which CHAPTERS Group AG indirectly holds more than 20% but less than 50% of the capital are included in the consolidated financial statements as associated companies using the equity method.

No.	Company	Registered office	Category	Share CHAPTERS Group AG	Participation via No.	Share direct parent company	Part of the group since	Included in cons. fin. statements 2022
Parent company								
1	CHAPTERS Group AG	Hamburg						
Direct participations								
2	MEDIQON Beteiligungsgesellschaft mbH	Hamburg	Investment holding	100.00	1	100.00	Feb 19	✓
Indirect participations (Level 1)								
3	NGC Nachfolgekapital GmbH	Munich	Platform company	80.00	2	80.00	Mar 19	✓
4	Ookam Software GmbH	Berlin	Platform company	80.00	2	80.00	May 19	✓
5	CarMa Holding GmbH	Aalen	Platform company	80.00	2	80.00	Jun 21	✓
6	mlog capital SAS	Le Bouscat, France	Platform company	80.00	2	80.00	Dec 23	
7	MEDIQON Beteiligungen Verwaltungs GmbH	Hamburg	Management GmbH	100.00	2	100.00	Aug 22	✓
8	MEDIQON Beteiligungen 1 GmbH & Co. KG	Hamburg	Platform company	100.00	2	100.00	Aug 22	✓
9	Fintiba GmbH ¹	Frankfurt	Operating company	55.00	2	55.00	Dec 21	at equity

10	Kältehelden GmbH ²	Hamburg	Operating company	80.00	2	80.00	Aug 20	✓
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Indirect participations under NGC Nachfolgekapital GmbH (No. 3)

11	GfW Gesellschaft für Weiterbildung mbH	Berlin	Acquisition company	62.27	3	77.84	Dec 20	✓
12	Speakeasy Berlin GmbH	Berlin	Operating company	62.27	11	100.00	Dec 20	✓
13	Speakeasy Munich GmbH ³	Munich	Operating company	54.80	11	88.00	Mar 21	✓
14	Strassenberger Akademie GmbH	Berlin	Operating company	49.82	11	80.00	Mar 21	✓
15	Kunstschule Wandsbek GmbH	Hamburg	Operating company	62.27	11	100.00	Mar 21	✓
16	Die Neue Schule GmbH	Berlin	Operating company	62.27	11	100.00	Apr 23	
17	Die Neue Schule GbR	Berlin	Operating company	62.27	11	100.00	Apr 23	
18	NGC CNC Beteiligungen GmbH	Alfdorf	Acquisition company	72.00	3	90.00	Apr 21	✓
19	Direkt CNC-Systeme GmbH	Alfdorf	Operating company	72.00	18	100.00	May 21	✓
20	NGC Immobilien Verwaltungs GmbH	Munich	AssetCo *	80.00	3	100.00	Nov 22	✓
21	ENTRO Invest GmbH	Munich	Acquisition company	52.00	3	65.00	Jul 22	pro-rata
22	ENTRO Service GmbH	Munich	Acquisition company	45.86	21	88.20	Aug 22	✓
23	ENTRO Süd GmbH	Munich	Acquisition company	45.86	22	100.00	Aug 22	✓
24	Wassermann GmbH	Nürnberg	Operating company	45.86	23	100.00	Sep 22	pro-rata
25	Torpedo GmbH	Dortmund	Operating company	45.86	22	100.00	Jul 23	
26	Gebr. Kuttner GmbH	Quickborn	Operating company	45.86	22	100.00	Dec 23	
27	ITS Industrie Tore Service GmbH	Krefeld	Operating company	45.86	22	100.00	Aug 23	
28	KHT Industriepartner GmbH & Co. KG	Hamburg	Operating company	45.86	22	100.00	Sep 23	
29	KHT Industriepartner Verwaltungs GmbH	Hamburg	Management GmbH	45.86	22	100.00	Sep 23	

Indirect participations under Ookam Software GmbH (No. 4)

30	OSW Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Jul 19	✓
31	Parity Software GmbH	Eberdingen-Hochdorf	Operating company	72.00	30	100.00	Aug 19	✓
32	GAIN Software GmbH	Schönbrunn	Operating company	72.00	30	100.00	Jul 23	✓
33	OSW 2 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Jul 19	✓
34	gripware datentechnik gmbh	Hemshofen	Operating company	80.00	33	100.00	Dec 19	✓
35	OSW 3 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Sep 19	✓
36	SWH Softwarehaus Heider GmbH	Bad Abbach	Operating company	80.00	35	100.00	Dec 19	✓
37	Software und Beratung Meinhardt GmbH	Eschwege	Operating company	72.80	35	91.00	Dec 22	pro-rata
38	OSW 4 Ookam Beteiligungs GmbH	Berlin	Acquisition company	79.20	4	99.00	Aug 20	✓
39	BleTec Software GmbH	Roßdorf	Operating company	79.20	38	100.00	Dec 20	✓
40	OPAS Software GmbH	Strullendorf	Operating company	80.00	4	100.00	Dec 20	✓
41	OSW 6 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Mar 21	✓
42	DATEX Software GmbH	Karlsruhe	Operating company	72.00	41	100.00	Apr 21	✓

43	OSW 7 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Mar 21	✓
44	Software24.com GmbH	Stephanskirchen	Operating company	72.00	43	100.00	Apr 21	✓
45	WAREHaus GmbH	Solingen	Operating company	72.00	44	100.00	Jun 22	pro-rata
46	MWM Software & Beratung GmbH	Bonn	Operating company	64.80	43	90.00	Jun 23	
47	Key Logic GmbH	Eschborn	Operating company	72.00	43	90.00	Aug 23	
48	Littera Software & Consulting GmbH	Hall in Tirol, Austria	Operating company	72.00	43	100.00	Nov 23	
49	Littera Software & Consulting GmbH	Munich	Operating company	72.00	48	100.00	Nov 23	
50	OSW 8 Ookam Beteiligungs GmbH	Berlin	Acquisition company	64.00	4	80.00	Sep 21	✓
51	Corporate Montage Europe GmbH	Wiesbaden	Operating company	64.00	50	100.00	Sep 21	✓
52	OSW 9 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Nov 21	✓
53	elKom Solutions GmbH	Tuttlingen	Operating company	80.00	52	100.00	Dec 21	✓
54	OSW 10 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Dec 21	✓
55	Voigt Software und Beratung AG	Ilfeld	Operating company	72.00	54	100.00	May 22	pro-rata
56	OSW 11 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Dec 21	✓
57	Condition Integrierte Softwarelösungen GmbH	Göttingen	Operating company	80.00	56	100.00	Jan 23	
58	rocom GmbH	Riedering	Operating company	80.00	56	100.00	Dec 23	
59	OSW 12 AT Ookam Beteiligungs GmbH	Vienna, Austria	Acquisition company	80.00	4	100.00	Feb 22	✓
60	Solarys Software GmbH ⁴	Vienna, Austria	Operating company	80.00	59	100.00	Feb 22 / Dec 22	pro-rata
61	Utilities Systems s.r.o. ⁵	Prague, Czech Republic	Operating company	80.00	4	100.00	Apr 23	
62	Usys Slovakia, s.r.o.	Banská Bystrica, Slovak Republic	Operating company	80.00	61	100.00	Apr 23	
63	OSW 14 Ookam Beteiligungs GmbH	Berlin	Acquisition company	64.00	4	80.00	Jan 23	
64	Teamware GmbH	Munich	Operating company	64.00	63	100.00	Mar 23	

Indirect participations under CarMa Holding GmbH (No. 5)

65	CarrierWerke GmbH	Walldorf	Operating company	80.00	5	100.00	Aug 21	✓
66	Interactive Network Communications GmbH	Frankfurt	Operating company	80.00	5	100.00	Nov 21	✓
67	CarMa rental GmbH	Frankfurt	AssetCo *	80.00	5	100.00	Feb 22	✓
68	Ingenia Glasfaser GmbH	Kirchberg an der Jagst	Operating company	64.00	5	80.00	Sep 22	✓
69	CarMa networks GmbH	Frankfurt	Acquisition company	80.00	5	80.00	Apr 23	
70	codewerke GmbH	Heubach	Operating company	80.00	5	100.00	Nov 23	
71	Jobst NET GmbH	Amberg	Operating company	80.00	69	100.00	Aug 23	

Indirect participations under mlog capital SAS No. 6)

72	GI Informatique Holding SAS	Le Bouscat, France	Acquisition company	68.00	6	85.00	Dec 23	
73	CSWIN Holding SAS	Le Bouscat, France	Acquisition company	64.00	6	80.00	Dec 23	

* Companies own and rent equipment and other fixtures to other subsidiaries within the group

- ¹ MEDIQON Beteiligungsgesellschaft mbH has held 21.5% of the shares in **Fintiba GmbH** since May 2021 and increased its stake to 39.9% in the 2022 financial year. In December 2023, MEDIQON Beteiligungsgesellschaft mbH acquired an additional 15.1%, increasing its share to 55%. Fintiba GmbH has been included in the consolidated financial statements using the equity method since 2021. For the 2023 financial year, the equity method will also be used for consideration in the income statement. The company's assets and liabilities are fully reflected in the Consolidated Financial Statements 2023.
- ² **Kältehelden GmbH** has been part of the group since August 2020. Until September 22, 2023, the direct parent company was the 80% subsidiary of MEDIQON Beteiligungsgesellschaft mbH, NGC Nachfolgekapital GmbH. In the 2023 financial year, MEDIQON Beteiligungsgesellschaft mbH took over the shares in Kältehelden GmbH from NGC Nachfolgekapital GmbH.
- ³ **Next level learning GmbH**, a small operating company under GfW Gesellschaft für Weiterbildung mbH (which, in turn, is under NGC Nachfolgekapital GmbH), was merged into the sister company **speakeasy Munich GmbH** in the first half of 2023.
- ⁴ In September 2023, Solarys Informatik GmbH was merged into blaulicht SMS GmbH. The company renamed itself **Solarys Software GmbH**. The business operations of Solarys Informatik GmbH will continue unchanged.
- ⁵ **Utilities Systems s.r.o.** emerged within the scope of the merger of the operating company with the relevant acquisition companies (OSW 13 CZK Oookam s.r.o.).

Waiver of inclusion

For four companies, inclusion was waived with reference to Section 296 (2) of the German Commercial Code (HGB) due to their minor importance for the consolidated financial statements. CHAPTERS Software Switzerland GmbH, based in Zurich, Switzerland, was founded as a wholly owned subsidiary of MEDIQON Beteiligungs GmbH in 2023 and was not operationally active in the financial year. The same applies to NGC Services GmbH, which was founded in 2022 and is based in Munich, a wholly owned subsidiary of NGC Nachfolgekapital GmbH. The acquisition costs for both companies correspond to the respective share capital.

Tilia Software GmbH, based in Ilsfeld, is a 50% subsidiary of Voigt Software und Beratung AG, which was not operational in the 2023 financial year. rocom service GmbH, based in Riedering, is a 50% subsidiary of rocom GmbH, which carried out development work for the parent company in the 2023 financial year. The costs incurred on this level are included in the parent company's material costs. Both companies are reported under other investments with their investment book value totalling EUR 25.00 thousand (corresponds to the proportionate share capital).

Inclusion was waived for two companies with reference to Section 296 (1) No. 2 HGB. Glasfaser Direkt GmbH, based in Cologne, and the EFN eifel-net Internet-Provider GmbH, based in Euskirchen, each filed for insolvency in February 2023. As part of the insolvency proceedings, CarMa Holding GmbH took over 100% of the shares in both companies. In order to prepare the balance sheets for the companies as of 12/31/2023, the final balance sheets still to be prepared by the insolvency administrator after the completion of the insolvency proceedings (as of August 31, 2023) are required, which were not yet available at the time the financial statements were prepared. The inclusion is therefore waived in light of the delays that would otherwise result. The two companies are reported under financial assets, with their investment book value totalling EUR 1,217.63 thousand under shares in affiliated companies (not consolidated).

Associated companies

No.	Company	Registered office	Category	Share CHAPTERS Group AG	Participation via No.	Share direct parent company	Part of the group since	Included in cons. fin. statements 2022
74	NPV Nachfolge Beteiligungen GmbH ¹	Dorsten	Acquisition company	44.00	1	44.00	Jan 19	✓
75	MedNation AG	Bonn	Operating company	20.00	1	20.00	Nov 21 ²	✓
76	VEIL VariETY in Colours GmbH	Hamburg	Operating company	49.80	2	49.80	Aug 22	✓
77	TraFin Scout GmbH	Frankfurt am Main	Operating company	33.09	2	33.09	Aug 22 ³	✓
78	Global Heart Beteiligungsgesellschaft mbH	Frankfurt am Main	Investment holding	41.73	8	41.73	Aug 22	✓

¹ **NPV Nachfolge Beteiligungen GmbH** holds 100% of the shares in E-M-C direct GmbH & Co KG and the associated general partner, NVP Elektroinstallationen Handel GmbH.

² CHAPTERS Group AG has held shares in **MedNation AG** (formerly Eifelhöhen-Klinik AG) since August 2020. The 20% threshold was exceeded for the first time in November 2021.

³ CHAPTERS Group AG has held shares in **TraFin Scout GmbH** since April 2022. The 20% threshold was exceeded for the first time in August 2022.

Changes in the scope of consolidation

Beyond the additions to the scope of consolidation according to the overview above, the indirect share of CHAPTERS Group AG in the following companies was reduced in the 2023 financial year:

No.	Company	Registered office	Category	Share CHAPTERS Group AG 2023	Share CHAPTERS Group AG 2022	Participation via No.
22	ENTRO Service GmbH	Munich	Acquisition company	45.86	52.00	21
23	ENTRO Süd GmbH	Munich	Acquisition company	45.86	52.00	22
24	Wassermann GmbH	Nürnberg	Operating company	45.86	52.00	23

Furthermore, the CHAPTERS Group AG – via its fully-owned subsidiary MEDIQON Beteiligungsgesellschaft mbH, increased its share in **Fintiba GmbH** from 39.90% in the previous year to 55.00% as of 12/31/2023. Fintiba GmbH is included in the associated companies until 12/31/2023. The increase in the share to 55.00% is recognized as an acquisition transaction - including the amounts recognized in the shares in associated companies in previous years.

The following companies were also deconsolidated in the 2023 financial year:

Company	Registered office	Category	Share CHAPTERS Group AG	Direct parent company	Share of direct parent company	Part of the group until
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Indirect participations under NGC Nachfolgekapi tal GmbH

ARUDI GmbH	Munich	Acquisition company	80.00	NGC Nachfolgekapi tal GmbH	100.00	Sep 23
Gelford GmbH Gebäudereinigung und Dienstleistungen	Essen	Operating company	80.00	ARUDI GmbH	100.00	Sep 23
Diamant Gebäudereinigungsdienst GmbH	Bremen	Operating company	80.00	ARUDI GmbH	100.00	Sep 23
Calmund & Riemer GmbH	Duisburg	Operating company	80.00	ARUDI GmbH	100.00	Sep 23

Capital consolidation

Capital consolidation for companies acquired or founded by CHAPTERS Group AG directly or indirectly from third parties is carried out using the acquisition method in accordance with Section 301 of the German Commercial Code (HGB). The valuation at direct parent company of the acquired and founded company is offset against the amount of the revalued equity of the subsidiary attributable to these shares. Under the revaluation method used, the assets, liabilities, prepaid expenses, and extraordinary items to be included are valued at their fair value at the time of initial inclusion in the consolidated financial statements (which, with the exception of Fintiba GmbH, corresponds to the time of acquisition). For the revaluation of equity, a purchase price allocation was made by CHAPTERS Group AG (with the support of Baker Tilly GmbH & Co. KG Wirtschaftsprüfungsgesellschaft). The revalued assets resulting from the purchase price allocation are accounted for in the consolidated financial statements at the level of the respective acquired subsidiary and amortized.

A positive difference between the valuation at the direct parent company and the equity of the subsidiaries revalued as part of the purchase price allocation is capitalized as goodwill for the consolidated financial statements and amortized at the level of the direct parent company.

The valuation is performed in accordance with Section 301 (2) of the German Commercial Code (HGB) at the time of acquisition of the respective subsidiary. If no interim financial statements are prepared at the time of acquisition for transactions that took place during the year, said statements are derived using the pro rata temporis method. Subsidiaries acquired in the 2023 financial year are only included proportionately in the consolidated income statement with the results achieved since the date of acquisition.

Non-controlling interests

In the group structure of CHAPTERS Group AG, minority shareholders have interests in the subsidiaries at several levels. According to Section 307 of the German Commercial Code (HGB), an adjustment item equal to the proportionate equity capital is created for the shares in a subsidiary to be included that are held by shareholders outside the group. The profits and losses attributable to non-controlling interest (including the results from capital consolidation and the resulting depreciation and amortization attributable to them) are reported separately in the consolidated income statement, and the adjustment item in equity is updated accordingly.

Consolidation of liabilities, expenses and income and elimination of intermediate results

Receivables and liabilities, sales, expenses and income within the scope of consolidation were eliminated. This includes, in particular, existing (shareholder) loans within the scope of consolidation as well as interest charged on them. There were no significant intermediate results from transactions between consolidated companies.

Foreign currency translation

When translating the financial statements of subsidiaries whose currency is not the euro, the modified reporting date exchange rate method is used in accordance with Section 308a of the German Commercial Code (HGB). The assets and liabilities are generally converted using the average spot exchange rate on the reporting date. Expenses and income are converted into euros at the average exchange rate. The equity items are converted using the historical rates applicable

for the date of the initial consolidation. The currency translation differences are recognized directly in equity after reserves under “exchange rate differences from revaluation” until the disposal of the relevant unit.

Shares in associated companies

Shares in associated companies are accounted for using the at-equity method at acquisition cost, increased or decreased by the changes in equity in the associated company since acquisition. If the associated company prepares consolidated financial statements, these are used as the basis; otherwise, the individual financial statements are used. No adjustments are made to accounting and valuation methods in the relevant financial statements of the associated companies differing from those in the consolidated financial statements. The respective annual result after taxes is taken into account for the result of changes in equity of associated companies. Profit distributions received are deducted. If the acquisition costs at the time of acquisition differ from the proportionately acquired equity capital, the passive difference or goodwill is released or amortized over 10 years and is included in the result from associated companies. If the cumulative loss of the respective company since the investment by CHAPTERS Group AG exceeds the carrying value of the investment, the shares will be recognized at a value of EUR 1.00 until the loss is offset by the company's current income.

C. Summary of significant accounting policies

The consolidated financial statements of the Group are prepared on the basis of the individual financial statements of the fully consolidated subsidiaries included in the Group and the associated companies included using the at-equity method. If the associated company prepares consolidated financial statements, those are considered. No consolidated financial statements are prepared by the fully consolidated subsidiaries. For subsidiaries that are not based in Germany, significant differences between local accounting regulations and the HGB are eliminated.

Permissible valuation options are exercised uniformly in the consolidated financial statements, regardless of their exercise in the annual financial statements of the companies included in the consolidated financial statements in accordance with Section 308 of the German Commercial Code (HGB).

Intangible assets

At the level of the fully consolidated subsidiaries included in the consolidated financial statements, **intangible assets acquired** are recognized at their acquisition cost and amortized on a straight-line basis over their useful life (3 to 10 years). This essentially concerns purchased licenses and the externally commissioned (further) development of software products. To the extent that software is developed by the companies themselves, it is not capitalized in the consolidated financial statements.

As part of the **purchase price allocation**, the intangible assets of the acquired fully consolidated subsidiaries are identified and revalued. This includes the respective brands and the software products of the fully consolidated subsidiaries. The valuation is based on the relief from royalty method. The identified intangible assets are amortized on a straight-line basis over the normal useful life of 15 years for the brand and 5 years for the software. The other intangible assets identified as part of the purchase price allocation include a favorable rental agreement, which is

valued based on the difference between the market rent and the remaining term of the rental agreement and is amortized on a straight-line basis over 10 years.

Goodwill represents the remaining active difference resulting from the difference between the acquisition costs and the fair value of the revalued net assets of the acquired company attributable to the group at the time of acquisition. The goodwill reflects the long-term business relationships as well as the good operating profitability of the operating associate companies.

The identified goodwill is amortized on a straight-line basis over 10 years.

There were no signs of an expected permanent impairment and therefore no need for additional impairment of intangible assets as at December 31, 2023.

Property, plant, and equipment

The **corporate real estate** reported under property, plant, and equipment are carried at cost less accumulated depreciation. Depreciation is recognized on a straight-line basis; the depreciation period is between 30 and 50 years. As part of the purchase price allocation, hidden reserves amounting to EUR 316.00 thousand were recorded in the 2021 financial year based on a market value report. The hidden reserves are amortized on a straight-line basis over the expected remaining useful life of 22 years.

Technical equipment and machinery are reported at cost less accumulated depreciation. Depreciation is recognized on a straight-line basis over the expected useful life of the asset. The expected normal useful life is predominantly 8 to 10 years. In the 2023 financial year, CarMa Holding GmbH acquired 100% of the shares in Jobst Net GmbH. The company provides Internet services and owns fiber optic lines that connect cable splitters via fiber optics to the local distribution nodes. The depreciation period for these assets is 20 years.

Other fixtures and fittings, operating and office equipment are reported at cost less accumulated depreciation. Depreciation is recognized on a straight-line basis over the expected useful life of the asset. The expected normal useful life is 3 to 10 years.

Low-value assets with individual acquisition values of up to EUR 250.00 are treated as immediately deductible business expenses. Assets with acquisition or production costs of more than EUR 250.00 up to EUR 800.00 are usually written off in full in the year of acquisition or production.

Financial assets

Loans to companies in which a participation is held are generally valued at their nominal amount or at cost. There were no signs of an expected permanent impairment and therefore no need for additional impairment as at December 31, 2023.

Other participations in companies and **shares in affiliated companies** (if not consolidated) are recognized at cost.

Securities are recorded as fixed assets. If the securities are quoted in foreign currencies, the translation takes place in accordance with Section 256a HGB at the average spot exchange rate on 12/31/2023. The securities generally serve as medium-term investments. Investments in stocks are valued in accordance with the lower of cost or market principle under commercial law (Section 253 (3) Sentence 5 HGB) at the lower of acquisition costs and market value as at December 31, 2023. Appreciation is recognized if it is expected that the fair value is likely to be permanently above the book value recognized on the relevant reporting date before appreciation. The acquisition costs

correspond to the purchase price paid plus any transaction fees incurred. Investments in bonds are valued at the lower of acquisition costs and nominal value. There were no signs of an expected permanent impairment and therefore no need for additional impairment as at December 31, 2023.

The **shares in the perpetual bond** held by CHAPTERS Group AG as the parent company in the previous year were reported with the pro rata repayment value attributable to the shares.

Current assets

Raw materials and supplies are valued at average purchase prices. If lower replacement prices are available, these are applied taking into account the strict lower of cost or market principle.

Work in progress and unfinished services are valued at cost, taking into account the stage of completion.

Finished products and goods include the hidden reserves from the contract portfolio of the acquired companies that were uncovered as part of the purchase price allocation. If customer contracts (usually maintenance contracts for software) include the obligation to pay fees beyond the date of acquisition, the income resulting from these contracts will be valued and capitalized until the next possible termination date. The order backlog identified will be released over the remaining term of the contracts. There were no signs of impairment and the resulting need for additional write-downs as at December 31, 2023.

Receivables and other assets are valued at nominal value or cost, deducting, if necessary, impairments for individual risks.

Bank balances and cash on hand are recognized at nominal value.

Provisions

Provisions take into account all future obligations identified at the time of preparation of the financial statements and are recognized at their settlement amount based on prudent commercial assessment. For the balance sheet recognition of the provisions for share-based compensation, an option valuation according to Black Scholes is carried out.

Liabilities

Liabilities (with the exception of the perpetual bond) are reported at their settlement amounts. The perpetual bond is valued at its nominal amount. The bond conditions allow for early repayment at a lower price; the difference between the nominal amount and the repayment value relevant as of the reporting date in accordance with the bond conditions is recognized in deferred income.

Subsequent purchase price payments related to the acquisition of new companies are reported as seller loans in other liabilities in the consolidated financial statements. If the payment is linked to the achievement of certain operational goals ("earn-out payments"), they are then reported in liabilities if the achievement of the goals and, thus, payment of the additional purchase price elements can be assumed met at the time the consolidated financial statements are prepared.

Accrued and Deferred items

Accrued and deferred items were created for expenses or income before the balance sheet date if they represent expenses or income for a certain period after the balance sheet date.

Deferred taxes

Deferred tax liabilities are recognized in connection with the purchase price allocation and the (temporary) difference between the carrying amounts in the tax accounts of the respective individual company and the valuations in the HGB consolidated financial statements. Deferred tax assets are created in connection with negative differences between the carrying values of assets in the HGB consolidated financial statements and the respective individual financial statements.

The deferred taxes are reversed in accordance with the amortization of assets resulting from the purchase price allocation or in line with the reversal of the negative differences between the carrying amount in the HGB consolidated financial statements and at the level of the individual company. For companies based in Germany, an average combined tax rate of 30% is used for all companies; for companies based outside Germany, the local tax rate at the time of the acquisition of the shares is applied. Offsetting is not carried out under Section 306 Sentence 2 of the German Commercial Code (HGB).

D. Notes to the consolidated balance sheet

Fixed assets

The development of the individual fixed assets items, as well as the depreciation in the Group during the financial year can be found in the consolidated fixed asset schedule attached as an appendix to the Notes to the Consolidated Financial Statements.

Shares in associated companies are recognized at amortized value. For the amortized value, the acquisition costs are increased or reduced by the annual result attributable to CHAPTERS Group AG (or its direct subsidiaries), as well as the amortization of goodwill or the reversal of passive differences. If the cumulative loss of the respective company since the investment by CHAPTERS Group AG exceeds the carrying value, the shares will be recognized at a value of EUR 1.00 until the loss is offset by the company's current income. The difference between the amortized value (if negative) and the carrying value amounts to EUR 323.69 thousand (previous year: EUR 348.29 thousand). If goodwill or a passive difference (if the acquisition costs are less than the company's equity at the time of acquisition) arises from offsetting the acquisition costs against the share of the respective company's equity, it will be amortized or released in profit or loss on a straight-line basis over 10 years from the date of acquisition. The amortization on the goodwill created in previous years in connection with associated companies amounts to a cumulative amount of EUR 1,190.99 thousand, EUR 508.74 thousand thereof in the 2023 financial year. In relation to the increase of shares held in Fintiba GmbH at the end of the financial year, the goodwill attributable to the company is derecognized. As at December 31, 2023, the remaining goodwill amounts to EUR 487.98 thousand (previous year: EUR 4,405.16 thousand). The passive difference arising in the 2021 financial year amounts to EUR 458.13 thousand (previous year: EUR 523.58 thousand) after reversal in the financial year ending on 12/31/2023.

The **goodwill** identified as part of the purchase price allocation changed as follows in the 2023 financial year (data in EUR thousand):

	Opening balance as of January 1, 2023	Inflow in the financial year (including changes to the scope of consolidation)	Outflow in the financial year // Transfers // Currency differences	Depreciation in the financial year	Closing balance as of 12/31/2023
From purchase price allocation	59,388.64	61,998.78	-12,751.17 // -3.77 // -0.34	-8,954.06	99,678.08
From individual financial statements	123.39	90.00	0.00	-18.23	183.15
Total	59,512.03	62,088.78	-12,754.99	-8,972.29	99,861.23

Finished products and goods from purchase price allocation

The order and contract backlog identified as part of the purchase price allocation developed as follows in the 2023 financial year (data in EUR thousand):

Opening balance as of 01/01/2023	Inflow in the fiscal year	Outflow in the fiscal year	Dissolution in the financial year	Closing balance as of 12/31/2023
778.21	1,972.58	-114.66	738.99	1.897.14

Receivables and other assets

Trade accounts receivable amounting to EUR 7,697.56 thousand (previous year: EUR 3,918.75 thousand) exist at the level of the operating companies included in the consolidated financial statements.

The **receivables from companies in which a participation is held** amounting to EUR 241.91 thousand (previous year: EUR 156.48 thousand) are loan receivables from minority interests within the group structure. The amount is entirely attributable to retained interest on shareholder loans issued to the subsidiaries. The interest accruing on the shareholder loans can be retained or paid at the discretion of the subsidiaries. In principle, payment of interest by the subsidiaries is planned. The interest receivables are, therefore, also reported under current assets.

Cash at banks and cash on hand

Cash and cash equivalents amounting to EUR 50,843.20 thousand (previous year: EUR 26,278.50 thousand) are predominantly balances at banks. Cash on hand amounts to EUR 154.78 thousand (previous year: EUR 22.12 thousand). An amount of EUR 26,953.03 thousand (previous year: EUR 17,708.53 thousand) relates to cash and cash equivalents held by CHAPTERS Group AG as the parent company, the cash and cash equivalents at the level of the subsidiaries amount to EUR 23,890.17 thousand (Previous year EUR 8,547.85 thousand). There is no cash pooling. For a detailed analysis of the changes in cash, please refer to the consolidated cash flow statement.

Accrued and Deferred items

Deferred income is recognized at the level of the operating subsidiary in connection with payments already received in the 2023 financial year for contracts with a contract term beyond the reporting data and amounts to EUR 4,077.31 thousand (previous year: EUR 1,261.61 thousand). Accruals

amount to EUR 3,533.03 thousand (previous year: EUR 4,922.65 thousand) and were formed in the amount of EUR 2,818.31 thousand (previous year: EUR 4,654.79 thousand) for interest expenses expected at the level of CHAPTERS Group AG as the parent company through the reversal of the discount for the perpetual bond issued in June 2020.

Equity

The detailed changes in equity are reported in the consolidated statement of changes in equity.

The **subscribed capital** of CHAPTERS Group AG as of the balance sheet date amounts to EUR 18,149.19 thousand (previous year: EUR 16,066.60 thousand) and is divided into 18,149,192 bearer shares. With registration on May 30, 2023, the share capital was increased by EUR 432.67 thousand. As a result, the **capital reserve** was increased by 5,884.26 thousand. With registration on December 7, 2023, a second increase in the share capital by EUR 1,649.93 thousand took place. As a result, the capital reserve was increased by an additional EUR 27,405.27 thousand and amounts to EUR 125,192.19 thousand as of 12/31/2023 (previous year: EUR 91,902.66 thousand). An amount of 152.56 thousand results from payments into the capital reserves of fully consolidated subsidiaries by minority shareholders, some of which are allocated to the group due to consolidation.

On June 29, 2023, the Annual General Meeting decided to increase the company's share capital once or in multiple steps from EUR 16,066.60 thousand by up to EUR 8,033.30 thousand to up to EUR 24,099.90 thousand (Authorized Capital 2023/I). After partial utilization in December 2023, the authorized capital amounts to EUR 6,383.37 thousand as of 12/31/2023.

Provisions

The provisions amounting to EUR 10,385.66 thousand (previous year: EUR 3,716.55 thousand) are broken down as follows:

	12/31/2023 Euro '000	Previous year Euro '000
Tax provisions	4,119.43	1,795.04
Other provisions	6,266.23	1,921.51
<i>thereof for annual accounts and audit</i>	<i>458.35</i>	<i>448.06</i>
<i>thereof for personnel costs (share-based compensation not included)</i>	<i>530.88</i>	<i>523.23</i>
<i>thereof for share-based compensation at CHAPTERS Group AG level</i>	<i>876.5</i>	<i>0.00</i>
<i>thereof vacation accruals*</i>	<i>267.88</i>	<i>95.26</i>
<i>thereof for guarantees*</i>	<i>158.23</i>	<i>141.5</i>
<i>thereof for potential additional purchase price payments (earn-outs)</i>	<i>2,485.00</i>	<i>207.43</i>

* Correction of the previous year's values compared to the 2022 notes to the consolidated financial statements. The 2022 notes to the consolidated financial statements included the amount for annual accounts and audits for the vacation reserves and the 2021 value for the guarantees.

Liabilities

The liabilities amounting to EUR 80,301.36 thousand (previous year: EUR 69,380.12 thousand) include EUR 25,000.00 thousand (previous year: EUR 25,000.00 thousand) of the **perpetual bond** issued by CHAPTERS Group AG in May 2020. The nominal value of the bond is EUR 25 million. The issue discount of 35% was included in accrued items and is released on a pro-rata basis in accordance with the bond terms and conditions. In accordance with Section 246 (2) Sentence 1 of

the German Commercial Code (HGB), the shares in the perpetual bond held by the company since June 2021 were not offset. In May 2023, the company re-issued the shares it had held since June 2021 with a nominal value of EUR 12.5 million. The issue price was 77.19%, and the cash inflow for the company amounted to EUR 9,648.13 thousand. The difference to the carrying value of EUR 10,535.38 thousand is reported as a loss from the disposal of fixed assets under other operating expenses.

Amounts owed to credit institutions mainly relate to acquisition loans taken out to finance the acquisition of operating companies. These financings are raised at the level of the acquisition companies or the operating companies themselves. If the financing was raised at the level of the acquisition company, it is usually secured by the acquisition company pledging the shares in the operating company or a guarantee from the operating company in favor of the financing bank. The amount secured by pledging shares amounts to EUR 8.81 million (previous year: EUR 2.29 million). Land charges were provided as security for an amount of EUR 0.99 million (previous year: EUR 0.33 million). There is no joint liability with other group companies or CHAPTERS Group AG ("ring-fencing"). In some cases, interest rate hedging transactions were concluded for the loans. The funds are used to partially repay the shareholder loans provided by CHAPTERS Group AG, as the parent company, for the acquisition.

Trade accounts payable amounting to EUR 3,064.81 thousand (previous year: EUR 1,827.41 thousand) essentially include liabilities for purchased services at the level of the operating companies.

Other liabilities include **seller loans** amounting to EUR 14,922.70 thousand (previous year: EUR 9,679.83 thousand), which result from the deferral of purchase prices in relation to the acquisition of operating companies by the sellers. In addition, CarMa networks GmbH has a liability of EUR 664.42 thousand to its sister company, Glasfaser Direkt GmbH. Since the consolidation of Glasfaser Direkt GmbH was waived with reference to Section 296 (1) No. 2 HGB, this liability remains included in the consolidated financial statements.

Also included are **liabilities owed to minority shareholders** amounting to EUR 3,259.50 thousand (previous year: EUR 1,981.83 thousand). The shareholder loans from minority shareholders are granted on the same terms as the shareholder loans of CHAPTERS Group AG.

The maturities of the liabilities are listed in the following table of liabilities (in EUR thousand):

		Total	Up to 1 year	Between 1 and 5 years	More than 5 years
Bond	12/31/2023	25,000.00			25,000.00
	12/31/2022	25,000.00			25,000.00
Amounts owed to credit institutions	12/31/2023	29,426.02	7,116.09	21,791.41	518.52
	12/31/2022	27,411.06	5,855.49	19,229.65	2,325.92
Advance payments received on orders	12/31/2023	364.51	364.51		
	12/31/2022	1,104.70	1,104.70		
Accounts payable	12/31/2023	3,064.81	3,064.81		
	12/31/2022	1,827.41	1,827.41		
Other liabilities	12/31/2023	22,446.02	18,522.09		3,923.93
	12/31/2022	14,036.95	10,447.00	1,608.13	1,981.82
<i>thereof from seller loans</i>	<i>12/31/2023</i>	<i>14,922.70</i>	<i>14,922.70</i>		
<i>thereof to minority shareholders</i>	<i>12/31/2023</i>	<i>3,259.50</i>			<i>3,259.50</i>
<i>thereof from taxes</i>	<i>12/31/2023</i>	<i>1,241.88</i>	<i>1,241.88</i>		
<i>thereof in relation to social security</i>	<i>12/31/2023</i>	<i>103.36</i>	<i>103.36</i>		
Liabilities	12/31/2023	80,301.36	29,067.50	21,791.41	29,442.45
	12/31/2022	69,380.12	19,234.60	20,837.78	29,307.74

Deferred Tax liabilities

The deferred tax liabilities result from the purchase price allocation performed in the course of preparing the consolidated financial statements and developed as follows in the financial year (data in EUR thousand):

Opening balance as of 01/01/2023	Inflows in the fiscal year	Outflows in the fiscal year	Closing balance as of 12/31/2023
2,747.11	3,074.11	718.61	5,102.61

The deferred tax assets amounting to EUR 237.75 thousand (previous year: EUR 0.00 thousand) result in the amount of EUR 190.89 thousand from internally developed intangible assets capitalized in the individual financial statements of a subsidiary, which are depreciated for tax purposes in accordance with local regulations. The internally developed intangible assets are not capitalized in the HGB consolidated financial statements. Deferred tax assets of EUR 46.85 thousand result from a lower valuation of property, plant, and equipment as part of the purchase price allocation compared to the valuation in the individual financial statements of the relevant company.

Contingent liabilities

As of 12/31/2023, there are contingent liabilities of EUR 136.53 thousand (previous year: EUR 367.82 thousand) due to the assumption of maximum liability guarantees for leasing and supplier contracts of a subsidiary. Based on the business development of the subsidiary, no claims are expected.

E. Notes to the consolidated income statement

Revenue

Revenue is primarily generated through the sale of services as well as software licenses and associated maintenance contracts. Revenues are predominantly generated in Germany.

Of the Group's revenue totaling EUR 70,766.28 thousand (previous year: EUR 42,067.30 thousand), EUR 35,058.87 thousand is attributable to the software and internet services segment (previous year: EUR 23,621.48 thousand), an amount of EUR 11,840.09 thousand to the education sector (previous year: EUR 8,470.13 thousand) and an amount of EUR 23,692.29 thousand to industry-related services (previous year: EUR 9,837.96 thousand). Revenues from holding companies (if not within the scope of consolidation) amount to EUR 175.03 thousand (previous year: EUR 137.74 thousand).

Other operating income

Other operating income is broken down as follows:

	2023 Euro '000	Previous year Euro '000
Ordinary operating income*	952.03	947.96
Income from the disposal of and from appreciation of fixed assets	6,386.43	6,554.25
Income from the reversal of provisions	133.88	119.72
income for other accounting periods	72.00	93.60
Income from currency translation	14.60	-
Other operating income	7,558.93	7,715.53

* Correction of the previous year's values compared to the 2022 consolidated notes. In the 2022 consolidated notes, the income relating to other periods was included in the ordinary operating income; from 2023 onwards, it will be recorded separately. The other income of EUR 80.20 thousand, which was listed separately in the previous year's notes, will be included in ordinary operating income from 2023.

Ordinary operating income includes income from the offsetting of benefits in kind amounting to EUR 278.77 thousand (previous year: EUR 243.43 thousand).

The income from the disposal of and from appreciation of fixed assets includes income of EUR 3,118.61 thousand (previous year: EUR 1,773.14 thousand) from the sale of securities by CHAPTERS Group AG. Of exceptional importance in the 2023 financial year is the included income of EUR 3,038.16 thousand from the deconsolidation of companies, of which an amount of EUR 2,037.26 thousand relates to non-cash income from the deconsolidation.

Depreciation and Amortization

Depreciation and amortization is comprised as follows:

	2023 Euro '000	Previous year Euro '000
Amortization of intangible assets and property, plant, and equipment from purchase price allocation	-2,009.57	-1,338.48
Amortization of intangible assets at individual company level	-440.14	-474.89
Depreciation of property, plant, and equipment at individual company level	-1,045.18	-526.9
Amortization of goodwill from consolidation	-8,954.06	-5,649.04
On current assets (to the extent that these exceed the company's usual depreciation)*	-25.57	-0.27
Depreciation	- 12,474.52	- 7,989.58

* Correction of the previous year's value compared to the 2022 consolidated notes. In the 2022 consolidated notes, the value of EUR 0.27 thousand was rounded up to EUR 0.30 thousand in the notes.

Other operating expenses

Other operating expenses are comprised of:

	2023 Euro '000	Previous year Euro '000
Cost of premises	-2,619.86	-1,980.06
Insurance/Contributions	-364.98	-207.65
Vehicle costs	-1,280.81	-844.99
Advertising and travel costs	-2,195.27	-1,873.50
Repairs and maintenance	-643.65	-434.02
Legal and consulting costs	-1,608.80	-1,548.12
Costs for bookkeeping and preparation of annual financial statements	-746.22	-583.9
Costs incurred due to CHAPTERS Group AG's legal form (including the costs for the audit of the consolidated and annual financial statements)	-376.76	-288.15
Other operational costs	-4,688.58	-3,316.25
Ordinary operating expenses	-14,524.93	-11,076.64
Expenses from currency translation	-608.21	0
Expenses relating to other periods*	-129.3	-108.72
Losses from the disposal of fixed assets	-2,306.08	-822.36
Losses from impairments, from the disposal of current assets and additions to the allowance for receivables	-25.64	-33.72
Other operating expenses	-17,594.17	-12,041.44

* Included in other operating costs in the 2022 notes to the consolidated financial statements.

The losses from the disposal of fixed assets include losses of EUR 2,121.05 thousand from the sale of fixed asset securities at the level of CHAPTERS Group AG.

Result from associated companies

The result from associated companies is comprised of the following:

	2023 Euro '000	Previous year Euro '000
Distributions received	798.00	
Net profit for the year attributable to CHAPTERS Group AG	1,036.69	344.65
Net loss for the year attributable to CHAPTERS Group AG	-149.50	-387.11
Losses in excess of the amortized value	114.50	133.01
Offset of net profit for the year against losses carried forward from previous years	-161.72	-0.00
Amortization of goodwill	-508.74	-508.74
Release of passive differences	65.45	65.45
Total result from associated companies	1,194.66	-352.72

In total, CHAPTERS Group AG received distributions of EUR 1,316.70 thousand (previous year: EUR 0.00 thousand) from associated companies in the 2023 financial year. Of this, EUR 518.70 thousand relate to distributions from retained earnings from previous years and are offset against the acquisition costs of the associated companies without affecting income.

Income from other securities and loans classified as financial assets

The income of EUR 694.84 thousand (previous year 655.19 thousand) results in the amount of EUR 181.52 thousand (previous year: EUR 413.13 thousand) from dividends on securities received by CHAPTERS Group AG and in the amount of EUR 369.16 thousand (previous year: EUR 164.67 thousand) from interest received by CHAPTERS Group AG on bond investments in the securities account. In the amount of EUR 93.83 thousand (previous year: EUR 77.38 thousand) interest on loans to companies in which a participation is held is included. Interest on other loans from financial assets is included in the amount of EUR 50.33 thousand (previous year: EUR 0.00 thousand). Compared to the 2022 notes to the consolidated financial statements, interest on bond investments and on loans to companies within the group structure that has previously been included in interest and similar income has been reclassified to income from securities and loans of financial assets.

Other interest and similar income

The other interest and similar income totaling EUR 828.54 thousand (previous year: EUR 947.88 thousand) essentially results from the interest income on the shares in the perpetual bond held by CHAPTERS Group AG as well as from interest income on demand deposits and interest rate hedging transactions. Deviations from the 2022 notes to the consolidated financial statements result for the reclassification to income from other securities and loans classified as financial assets as explained above.

Depreciation on financial assets

The depreciation on financial assets results in the full amount of EUR 1,529.15 thousand (previous year 6,932.46 thousand) from unscheduled depreciation on securities that CHAPTERS Group AG, as the parent company, holds within the scope of its liquidity management.

Interest and similar expenses

The interest and similar expenses amounting to EUR 4,223.52 thousand (previous year: EUR 2,629.06 thousand) consist primarily of interest expenses of CHAPTERS Group AG, as the parent company, amounting to EUR 1,888 thousand (previous year: EUR 1,689.59 thousand), attributable to the interest expenses for the perpetual bond.

At the level of the subsidiaries, the interest expenses amount to EUR 2,335.46 thousand (previous year: EUR 938.11 thousand) and were essentially incurred for the acquisition loans taken out by the companies to (re)finance the acquisition of companies.

Taxed on income and earnings

Income taxes are paid at the level of the respective individual companies. Income tax groups regularly exist between the acquisition company and the operating company in which it has a direct stake. There are no other income tax groups, so losses in other group companies are not offset.

Income attributable to non-controlling interests

For the income attributable to non-controlling interests, profits and losses are netted. The profit attributable to non-controlling interest amounts to EUR 1,361.52 thousand (previous year: EUR 1,654.31 thousand) and is offset against a loss share of EUR -3,668.14 thousand (previous year: EUR 2,373.62 thousand).

F. Other information

Fee of the group auditor

The fee of the group auditor is expected to amount to EUR 112.50 thousand plus a flat rate cost reimbursement fee. Thereof, EUR 22.50 thousand relates to the audit review of the half-year accounts as of June 30, 2023, and EUR 25.00 thousand is expected to relate to the audit of the individual financial statement of CHAPTERS Group AG. An additional EUR 65.00 thousand is expected for the audit of the consolidated financial statement. In addition, other services provided by BDO abroad amounting to around EUR 50.00 thousand were billed within the group.

Information about the executive bodies

The following individuals were appointed to the **Management Board** in the 2023 financial year:

1. Mr. Jan-Hendrik Mohr, Hamburg, MSc. Financial Mathematics, BSc. Business Administration, bank clerk (Chairman of the board since 10/19/2021)

Jan-Hendrik Mohr was appointed to the company's board of directors on March 1, 2020. He is also Managing Director of JMX Capital GmbH, Hamburg, and Chairman of Software Circle plc (formally Grafenia plc), Manchester, Great Britain.

2. Ms Marlene Carl, Hamburg, MSc. Finance, BSc. Business Administration, bank clerk

Ms Marlene Carl was appointed to the company's board of directors on October 19, 2021. She is also a member of the Board of Directors of Tucows Inc., based in Toronto, Canada.

The following individuals were elected as **members of the Supervisory Board** in the 2023 financial year:

1. Dr Mathias Saggau, Bonn, Investment Manager, MSA Capital GmbH, (Chairman of the Supervisory Board)
2. Dr Martin Possienke, Bad Homburg v.d. Höhe, Investment Manager, Falkenstein Management GmbH (Deputy Chairman of the Supervisory Board)
3. Ms Edda Heidbrink, Köln, Attorney (Deputy Chairwoman of the Supervisory Board since 06/2023). Ms Heidbrink is also a member of the supervisory board of AMEVIDA SE.
4. Mr. Lars Ahns, Köln, Investment Manager, rubicon equities GmbH (Deputy Chairman of the Supervisory Board until June 2023)

Mr. Lars Ahns resigned from his mandate at the end of the 2023 Annual General Meeting. The general meeting elected as a member of the supervisory board:

5. Mr. Paul Buser, Bradenton (Florida), USA, Investment Manager, Sator Grove Holdings. Mr. Buser is also a member of the Supervisory Board of Cheetah Technologies, Pleasanton (California), USA, and Snapfix Limited, Dublin, Ireland.

Remuneration of the executive bodies

In the 2023 financial year, the Executive Board was granted fixed compensation amounting to EUR 296.8 thousand. In addition to the fixed remuneration, the company's Supervisory Board developed a virtual share option plan ("Virtual Share Option Plan", "VSOP") for the company's management board in the 2023 financial year, which incentivizes the long-term increase in the company's value and a sustainable increase in the share price.

As part of the VSOP, the Management Board was granted a total of 1,000,000 virtual share options with a start date of January 1, 2023, which can be exercised no earlier than December 31, 2026 and no later than December 31, 2027. Each option entitles the holder to payment of the difference between the share price relevant at the time of exercise (calculated as the volume-weighted average price of the last 30 trading days) and the strike price set by the Supervisory Board. The strike price for the share options for the Management Board was set at EUR 22.27 per option. The remuneration within the framework of the VSOP for the Executive Board is limited to a maximum of EUR 12 million per Management Board member; this amount would be reached if the share price were to exceed EUR 46.27 four years after the date of grant. Payment can be made in cash or by delivery of CHAPTERS Group AG shares – form of settlement is at the sole discretion of the Supervisory Board.

The options are subject to a four-year vesting period, during which the options vest pro-rata every quarter. Standard "bad leaver" regulations are in place, in which all options expire regardless of the point in time. After the four-year vesting period, the options can be exercised within one year. Payment will be made in three tranches, the first of which will be one-third of the total amount after exercise. The remaining amount will be paid out in equal tranches one or two years respectively after exercise, multiplied by the development of the company's share price since exercise.

A total of 250,000 share options for members of the Management Board vested in the 2023 financial year. The amount of the resulting payment can be finally determined by December 31, 2026, at the earliest. As part of the preparation of the annual financial statements of CHAPTER Group AG, the share options were valued at EUR 3.47 per option according to Black Scholes and a provision of EUR 867.5 thousand was created for share-based compensation.

The Supervisory Board was granted remuneration totaling EUR 96.00 thousand.

Group relationships

CHAPTERS Group AG (formerly MEDIQON Group AG), based in Hamburg (formerly Königstein im Taunus), is the ultimate parent company and prepares the consolidated financial statements and group management report for the 2023 financial year. The size criteria according to Section 293 (1) HGB were exceeded for the first time in the 2021 financial year. The consolidated financial statements of CHAPTERS Group AG are published in the company register.

Appropriation of earnings

The Management Board proposes to carry forward the accumulated loss of CHAPTERS Group AG as an individual company in the amount of EUR 6,604.67 thousand, consisting of a net profit of EUR 1,656.44 thousand and a loss carried forward of EUR 8,261.11 thousand.

G. Supplementary report

Four transactions had taken place through the platform companies by the time the consolidated financial statements were prepared.

Ookam Software GmbH acquired 90% of the shares in CSB Bruns & Börjes. The company, based in Augustfehn, develops and sells a market-leading software solution for inventory control systems in the motorcycle (accessories) trade, bicycle-, and outdoor trade. The solution is supplemented by an online shop solution, an interface to eBay and an app.

mlog capital SAS has successfully completed the first three transactions in France. The company has acquired an 80% stake in the companies CSWIN SAS and MAJELIS TUTELLE SAS. Both companies offer a guardianship management software solution for the French market but focus on different customer groups. In addition, mlog capital SAS acquired 85% of the shares in GI Informatique SAS. Founded in 1992, the company offers a comprehensive software solution for business administration, payroll, inventory management, and invoicing and is particularly strongly positioned among French retailers.

The investment volume for the four transactions amounts to a total of EUR 15.95 million, of which EUR 1.00 million was provided from seller loans and EUR 0.61 million from shareholder loans from minority shareholders. In addition, bank financing amounting to EUR 2.80 million was taken out, and additional refinancing amounting to EUR 3.92 million is intended for the second quarter of 2024.

In connection with transactions from previous years, EUR 16.88 million in bank financing was raised in the first months of the 2024 financial year, which was mainly used to repay (bridge) loans provided by CHAPTERS Group AG to the respective acquisition company (and in the amount of 1.15 million to repay shareholder loans from minority shareholders and in the amount of 0.70 million to pay transaction costs).

Furthermore, CHAPTERS Group AG paid an additional amount of EUR 5.15 million into the capital reserve of the subsidiary MEDIQON Beteiligungsgesellschaft mbH, which, in turn, used the funds to make an additional payment into the free capital reserve of Global Heart Beteiligungsgesellschaft mbH. Within the scope of this transaction, the company increased its stake in Global Heart Beteiligungsgesellschaft from 41.7% to 48.9%.

The Management Board of CHAPTERS Group AG has decided – with the approval of the supervisory board – to also adopt the share option plan developed by the Supervisory Board for various key employees of the company. By the time the annual financial statements of CHAPTERS Group AG were prepared, a total of 327,500 virtual share options had been granted to group employees with a starting date between January 1 and March 1, 2024. The strike price is between EUR 26.03 and EUR 27.30 per option; the maximum compensation from all options granted is limited to EUR 6.55 million. The other regulations correspond to the general conditions explained under “Remuneration of the executive bodies”.

On March 6, 2024, the increase in the share capital by contribution in kind by EUR 1,398.51 thousand, which was resolved on January 25, 2024, by the Management Board with the approval of the Supervisory Board, was registered. After registration, the company's share capital amounts to EUR 19,547.71 thousand. As part of the capital increase, a seller loan in relation to the acquisition of 15.1% of the shares in Fintiba GmbH in the 2023 financial year in the amount of EUR 10,353.12 thousand was contributed. The amount is now available to CHAPTERS Group AG in cash. In addition, 88,485.50

million shares were contributed to Software Circle plc, based in Manchester. The market value of the contributed shares was approximately EUR 15.5 million at the time of the contribution and has developed positively since then. Taking into account additional shares purchased on the market, CHAPTERS Group AG holds a total of 116.63 million shares and thus 29.9% of the outstanding share capital of Software Circle plc.

On March 26, 2024, the company made a buyback offer for a nominal amount of EUR 9.00 million of the perpetual bond at a price of 91.07% of the nominal amount. The company was offered a nominal volume of 19.97 million, which was accepted at a maximum of EUR 9.00 million. The liquidity outflow for the company amounts to EUR 8.20 million.

In April 2024, CHAPTERS Group AG signed a binding backstop agreement for an amount of around EUR 52 million with a group of renowned family offices.

CHAPTERS Group AG intends to carry out a capital increase with subscription rights from authorized capital in the course of 2024. The expected total volume of the capital increase is expected to amount to EUR 60 million to 80 million and will be determined based on the investment opportunities that arise. The new shares are to be issued at a price of EUR 24.70 per share. The backstop agreement ensures that up to EUR 52 million of the shares not subscribed for via subscription rights will be purchased at EUR 24.70 per share.

Hamburg, May 22, 2024



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CHAPTERS Group AG – CONSOLIDATED FINANCIAL STATEMENTS 2023
GROUP FIXED ASSET SCHEDULE as of December 31, 2023

Acquisition and manufacturing costs							Depreciation			Carrying value			
	01/01/2023	Inflows	Transfers	Outflows	Consolidation -related changes	12/31/2023	01/01/2023	Inflows	Transfers	Outflows	Consolidation -related changes	12/31/2023	12/31/2022
	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000	Euro '000
I. Intangible assets	83,546.46	71,975.88	-16.48	-16,048.87	1,225.37	140,682.37	-14,500.04	-11,403.60	3,282.41	6.81	-980.84	-23,595.26	117,087.11
1. Acquired concessions, industrial property rights and similar rights and values thereof from purchase price allocation	13,334.04	9,931.91	-23.25	-23.25	1,165.37	24,408.07	-3,812.36	-2,431.31	7.96	7.15	-968.83	-7,197.39	17,210.68
2. Company Value	10,982.32	8,886.89				19,869.21	-2,274.85	-2,009.40		5.87		-4,278.39	15,590.82
thereof from consolidation	70,199.72	62,028.78	-3.77	-16,025.62	60	116,259.11	-10,687.69	-8,972.30	3,274.45	-0.34	-12.01	-16,397.88	99,861.23
	69,530.05	61,998.78	-3.77	-16,025.62		115,499.44	-10,141.41	-8,954.06	3,274.45	-0.34		-15,821.36	99,678.08
3. Payments on account	12.71	15.19	-12.71			15.19							15.19
12.71													12.71
II. Property, plant and equipment	7,702.26	2,294.95	0	-431.38	3,822.19	13,388.02	-4,234.10	-1,045.34	222.08	1.14	-1,257.19	-6,313.41	7,074.61
Land and buildings	1,483.44	-170.38			20.13	1,333.19	-93.61	-37.24		3.6		-127.24	1,205.94
thereof from purchase price allocation	316	-170.38				145.62	-23.94	-0.17				-24.1	121.51
Technical equipment and machinery	777.05	461.19			-176.92	1,061.33	-281.65	-97.07		130.72		-248	813.33
Other equipment, factory and office equipment	5,425.85	1,351.89	15.92	-431.38	3,973.58	10,335.86	-3,858.85	-911.04	222.08	1.14	-1,391.51	-5,938.17	4,397.69
Payments on account and assets under construction	15.92	652.25	-15.92		5.39	657.65	0.00					0.00	657.65
15.92													15.92
III. Financial investments	65,063.59	18,111.84	-48,558.13		114.5	34,731.80	-7,738.93	-1,529.15	3,048.42	0.00	0.00	-6,219.66	1,774.86
Shares in associated companies	10,540.19	12,159.66		-6,285.25		16,414.60	0.00					0.00	-827.84
Participations in affiliated companies	0.00	1,217.63				1,217.63	0.00					0.00	1,217.63
Loans to associated companies	1,155.00	210				1,365.00	0.00				10.44	0.00	1,375.45
Other participations	1,085.34				12.5	1,097.84	-1,072.84					-1,072.84	25.0
Fixed asset securities	43,391.81	4,284.29		-33,381.63	102	14,396.48	-6,666.08	-1,529.15	3,048.42			-5,146.82	11,793.07
Bond shares held by the company itself	8,891.25			-8,891.25		0.00	0.00					0.00	0.00
Other loans of fixed assets	0.	240.25				240.25	0.00				48.85	0.00	289.1
48.85													0.00
Total fixed assets	156,312.31	92,382.67	-16.48	-65,038.38	5,162.06	188,802.19	-26,473.08	-13,978.10	6,552.91	7.96	-2,238.03	-36,128.33	154,448.72
													129,611.99
* Corresponds to the appreciation on securities													

* Corresponds to the appreciation on securities



Financial Statements for the Financial Year 2023

Balance Sheet as at December 31, 2023

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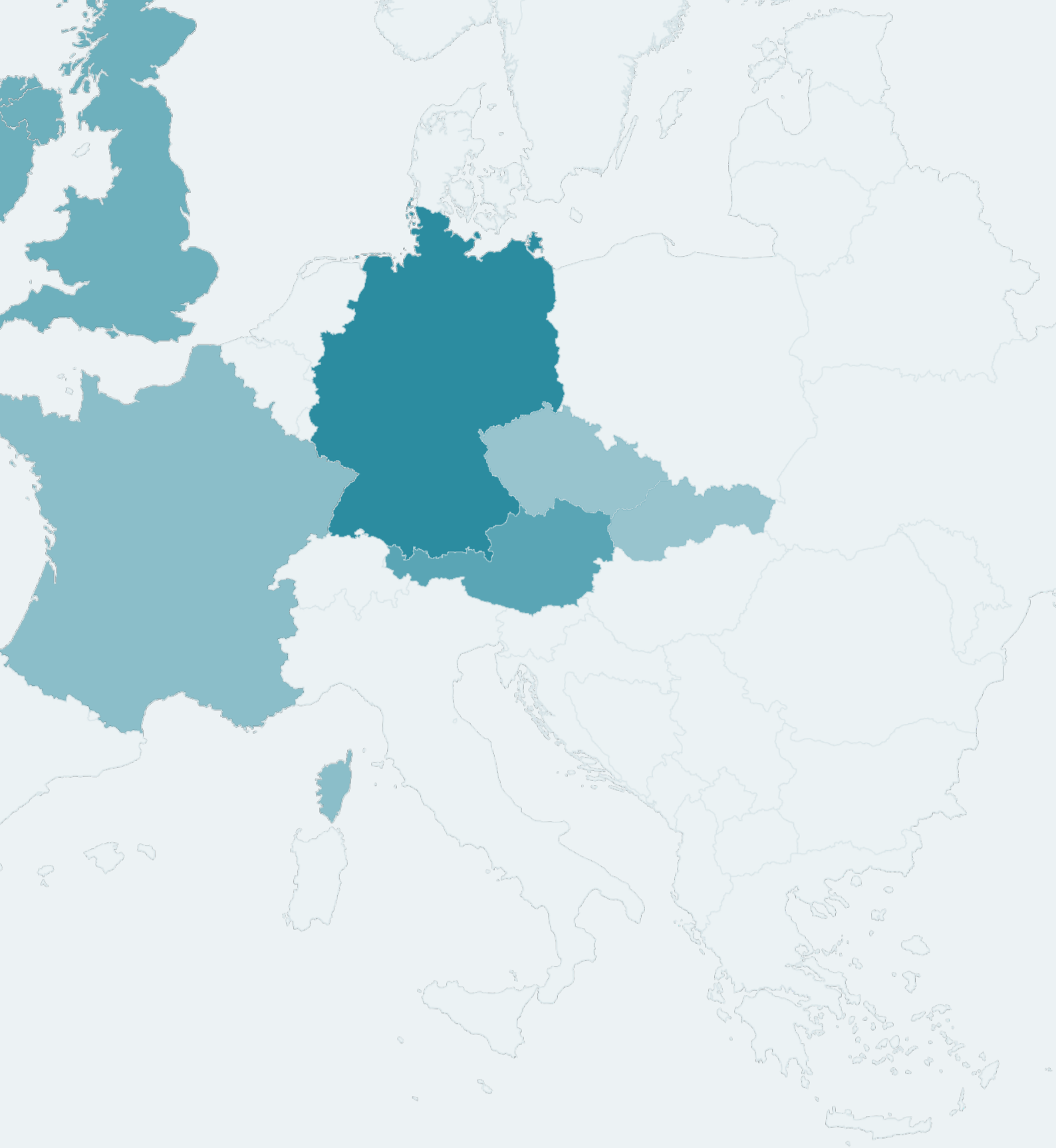
Income Statement for the year ended December 31, 2023

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CHAPTERS Group AG – FINANCIAL STATEMENTS for the Financial Year 2023 BALANCE SHEET as at December 31, 2023

	12/31/2023 Euro '000	12/31/2022 Euro '000
A. Fixed Assets	115,033.50	92,792.59
I. Intangible assets	32.55	27.98
II. Property, plant and equipment	14.04	8.78
III. Financial assets	114,986.90	92,755.83
1. Shares in affiliated companies	32,819.02	9,470.56
2. Loans to affiliated companies	66,525.05	32,941.19
3. Participations	2,538.51	2,538.51
4. Loans to companies in which a participation is held	1,375.45	1,158.53
5. Securities held as fixed assets	11,439.76	36,474.42
6. Shares of perpetual bond in own portfolio	0.00	10,172.60
7. Other loans classified as financial assets	289.1	0.00
B. Current Assets	45,387.75	27,721.25
I. Receivables and other assets	18,434.72	10,012.72
1. Trade accounts receivable	2.66	9.85
2. Receivables from affiliated companies	17,927.43	9,461.45
3. Receivables from companies in which a participation is held	241.28	156.48
4. Other assets	263.35	384.95
<i>thereof with a remaining term of more than one year</i>	28.44	146.88
II. Cash on hand, bank balances	26,953.03	17,708.53
C. Accrued items	2,861.52	4,667.16
Total Assets	163,282.77	125,180.99
A. Equity	136,736.71	99,708.15
I. Subscribed capital	18,149.19	16,066.60
II. Capital reserves	125,192.19	91,902.66
III. Loss carried forward	-8,261.11	-3,141.41
IV. Net profit / loss for the year	1,656.44	-5,119.70
B. Provisions	1,265.20	325.67
1. Tax provisions	124.1	14.81
2. Other provisions	1,141.10	310.87
<i>thereof for share-based compensation</i>	867.5	0.00
C. Liabilities	25,280.86	25,147.17
1. Bond	25,000.00	25,000.00
2. Amounts owed to credit institutions	0.00	0.06
3. Trade accounts payable	168.78	78.26
<i>thereof with a remaining term of less than one year</i>	168.78	78.26
4. Other liabilities	112.08	68.86
<i>thereof from taxes</i>	107.32	39.18
<i>Thereof in relation to social security</i>	1.01	0.88
<i>thereof with a remaining term of less than one year</i>	112.08	68.86
Total equity and liabilities	163,282.77	125,180.99

	Financial year Euro '000	Previous year Euro '000
1. Revenue	0	25.46
2. Total Output	0	25.46
3. Other operating income	3,132.17	1,793.12
a) Ordinary operating income	13.42	19.53
b) Income from the disposal of and from appreciation of fixed assets	3,118.61	1,773.14
c) Income from the reversal of provisions	0	0.46
d) Income from currency translation	0.14	0
4. Personnel expenses	-1,376.88	-501.44
a) Wages and salaries	-1,334.87	-469.65
<i>thereof for share-based compensation</i>	-867.5	0
b) Social security contributions and expenses for pensions and other benefits	-42.02	-31.79
<i>thereof for pensions</i>	-5.39	-3.57
5. Depreciation and Amortization	-30.64	-20.34
On intangible assets and property, plant and equipment	-30.64	-20.34
6. Other operating expenses	-3,600.64	-2,628.80
a) Ordinary operating expenses	-1,478.58	-1,866.11
<i>aa) Cost of premises</i>	-47.37	-32.92
<i>ab) Insurance / Contributions</i>	-23.37	-6.44
<i>ac) Advertising and travel costs</i>	-59	-40.75
<i>ad) Legal and consulting costs</i>	-592.84	-1,132.45
<i>ae) Costs incurred due to the company's legal form</i>	-376.76	-288.15
<i>af) Other operational costs</i>	-379.23	-365.4
b) Expenses from currency translation	-0.96	0
c) Losses from the disposal of fixed assets	-2,121.05	-761.19
d) Other operating costs	-0.05	-1.5
7. Earnings before interest and taxes	-1,875.99	-1,332.00
8. Income from other securities and from loans classified as financial assets	693.35	655.19
<i>thereof from companies in which a participation is held</i>	93.83	77.38
9. Interest income from shareholder loans to affiliated companies	5,826.94	3,294.47
10. Other interest and similar income	595.15	890.85
<i>thereof from affiliated companies</i>	3.98	23.17
<i>thereof from companies in which participations is held</i>	10.95	15.25
<i>thereof from own shares in the perpetual bond</i>	362.78	844.79
11. Depreciation on financial assets	-1,529.15	-6,932.46
<i>thereof impairment losses</i>	-1,529.15	-6,932.46
12. Interest and similar expenses	-1,844.92	-1,690.95
13. Taxes on income and earnings	-208.94	-4.8
14. Net profit / loss for the year	1,656.44	-5,119.70
15. Loss carried forward	-8,261.11	-3,141.41
16. Retained earnings	-6,604.67	-8,261.11



CHAPTERS
GROUP